Bafang Yunji International Co., Ltd. and subsidiaries

Consolidated Financial Statements for the Three Months Ended March 31, 2026 and 2025 and Independent Auditors' Review Report

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INDEPENDENT AUDITORS' REVIEW REPORT

The Board of Directors and Shareholders
Bafang Yunji International Co., Ltd.

Introduction

We have reviewed the accompanying consolidated balance sheet of Bafang Yunji International Co., Ltd. and its subsidiaries (the "Group") as of March 31, 2026 and 2025, and the related consolidated statements of comprehensive income, changes in equity and cash flows for the three months ended March 31, 2026 and 2025, and the related notes to the consolidated financial statements, including a summary of significant accounting policies (collectively referred to as the "consolidated financial statements"). Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with the Regulations Governing the Preparation of Financial Reports by Securities Issuers and International Accounting Standard 34 "Interim Financial Reporting" endorsed and issued into effect by the Financial Supervisory Commission of the Republic of China. Our responsibility is to express a conclusion on the consolidated financial statements based on our reviews.

Scope of Review

We conducted our reviews in accordance with the Standards on Review Engagements of the Republic of China 2410 "Review of Interim Financial Information Performed by the Independent Auditor of the Entity". A review of consolidated financial statements consists of making inquiries, primarily of persons responsible for financial and accounting matters, and applying analytical and other review procedures. A review is substantially less in scope than an audit and consequently does not enable us to obtain assurance that we would become aware of all significant matters that might be identified in an audit. Accordingly, we do not express an audit opinion.

Conclusion

Based on our reviews, nothing has come to our attention that caused us to believe that the accompanying consolidated financial statements do not present fairly, in all material respects, the consolidated financial position of the Group as of March 31, 2026 and 2025, and of its consolidated financial performance and its consolidated cash flows for the three months ended March 31, 2026 and 2025 in accordance with the Regulations Governing the Preparation of Financial Reports by Securities Issuer and International Accounting Standard 34 "Interim Financial Reporting" endorsed and issued into effect by the Financial Supervisory Commission of the Republic of China.

The engagement partners on the audits resulting in this independent auditors' report are Li-Huang Lee and Bo-Jen Weng.

Deloitte & Touche
Taipei, Taiwan
Republic of China

May 12, 2026

Notice to Readers

The accompanying consolidated financial statements are intended only to present the consolidated financial position, financial performance and cash flows in accordance with accounting principles and practices generally accepted in the Republic of China and not those of any other jurisdictions. The standards, procedures and practices to audit such consolidated financial statements are those generally applied in the Republic of China.

For the convenience of readers, the independent auditors' report and the accompanying consolidated financial statements have been translated into English from the original Chinese version prepared and used in the Republic of China. If there is any conflict between the English version and the original Chinese version or any difference in the interpretation of the two versions, the Chinese-language independent auditors' report and consolidated financial statements shall prevail.

BAFANG YUNJI INTERNATIONAL CO., LTD. AND SUBSIDIARIES

CONSOLIDATED BALANCE SHEETS
(In Thousands of New Taiwan Dollars)

ASSETS	March 31, 2026 Amount	%	December 31, 2025 Amount	%	March 31, 2025 Amount	%
CURRENT ASSETS						
Cash and cash equivalents (Notes 4, 6 and 34)	$ 1,488,954	18	$ 1,518,020	18	$ 1,109,441	17
Financial assets at fair value through profit or loss - current (Notes 4, 7 and 34)	200	-	120,417	2	-	-
Financial assets at amortized cost - current (Notes 4, 8, 9, 34 and 36)	534,518	7	509,722	6	81,644	1
Accounts receivables (Notes 4, 11, 34 and 35)	193,680	2	178,639	2	187,300	3
Lease receivables (Notes 4, 12 and 35)	20,222	-	26,004	-	28,769	-
Other receivables (Notes 4, 11, 34 and 35)	6,135	-	6,634	-	7,761	-
Current tax assets (Notes 4 and 29)	3,841	-	3,812	-	8,389	-
Inventories (Notes 4 and 13)	517,388	6	445,712	5	372,655	6
Other prepayments (Note 18)	112,921	1	150,408	2	120,360	2
Other current assets (Notes 19, 34 and 36)	40,037	1	39,830	1	3,407	-
Total current assets	2,917,896	35	2,999,198	36	1,919,726	29
NON-CURRENT ASSETS						
Financial assets at fair value through other comprehensive income - non-current (Notes 4, 10 and 34)	3,750	-	3,750	-	3,750	-
Financial assets at amortized cost - non-current (Notes 4, 8, 9 and 34)	-	-	-	-	9,780	-
Property, plant and equipment (Notes 4, 15 and 36)	3,354,712	41	3,292,432	40	2,957,701	44
Right-of-use assets (Notes 4, 16 and 35)	1,550,691	19	1,533,983	19	1,441,551	22
Other intangible assets (Notes 4 and 17)	23,132	-	24,245	-	16,216	-
Deferred tax assets (Notes 4 and 29)	7,665	-	7,978	-	5,515	-
Prepayments for equipment (Note 19 and 32)	168,513	2	145,775	2	126,894	2
Refundable deposits (Notes 19 and 34)	165,609	2	172,570	2	180,649	3
Long-term lease receivables (Notes 4, 12 and 35)	38,769	1	46,459	1	31,503	-
Total non-current assets	5,312,841	65	5,227,192	64	4,773,559	71
TOTAL	$ 8,230,737	100	$ 8,226,390	100	$ 6,693,285	100
LIABILITIES AND EQUITY						
CURRENT LIABILITIES						
Short-term borrowings (Notes 20 and 34)	$ 111,983	1	$ 110,005	1	$ 143,013	2
Notes payable (Notes 22 and 34)	1,032	-	1,422	-	2,961	-
Accounts payables (Notes 22 and 34)	304,990	4	286,682	3	285,860	4
Other payables (Notes 23, 34 and 35)	829,403	10	711,988	9	722,226	11
Current tax liabilities (Notes 4 and 29)	214,657	3	152,970	2	142,340	2
Lease liabilities - current (Notes 4, 16, 34 and 35)	408,538	5	415,115	5	372,774	6
Current portion of long-term borrowings (Notes 20, 34 and 36)	25,615	-	17,307	-	4,876	-
Other current liabilities (Notes 23)	67,627	1	53,031	1	54,549	1
Total current liabilities	1,963,845	24	1,748,520	21	1,728,599	26
NON-CURRENT LIABILITIES						
Bonds payable (Notes 4, 21, 34 and 36)	946,399	12	941,301	12	-	-
Long-term borrowings (Notes 20, 34, and 36)	92,967	1	74,442	1	25,983	-
Provisions (Notes 4 and 24)	5,535	-	5,807	-	6,621	-
Deferred tax liabilities (Notes 4 and 29)	9,271	-	8,957	-	28,334	1
Lease liabilities - non-current (Notes 4, 16, 34 and 35)	1,242,450	15	1,227,900	15	1,156,943	17
Net defined benefit liabilities - non-current (Notes 4 and 25)	339	-	342	-	305	-
Guarantee deposits received (Notes 23, 34 and 35)	73,051	1	65,905	1	58,273	1
Total non-current liabilities	2,370,012	29	2,324,654	29	1,276,459	19
Total liabilities	4,333,857	53	4,073,174	50	3,005,058	45
EQUITY ATTRIBUTABLE TO OWNERS OF THE COMPANY (Notes 14, and 26)						
Ordinary shares	666,448	8	666,448	8	666,448	10
Capital surplus	1,076,754	13	1,076,754	13	1,000,579	15
Retained earnings						
Legal reserve	555,767	7	555,767	7	495,473	7
Special reserve	-	-	-	-	1,619	-
Unappropriated earnings	1,229,924	15	1,492,800	18	1,156,918	17
Total retained earnings	1,785,691	22	2,048,567	25	1,654,010	24
Other equity						
Exchange differences on the translation of the financial statements of foreign operations	22,050	-	7,727	-	60,922	1
Equity attributable to owners of the Company	3,550,943	43	3,799,496	46	3,381,959	50
NON-CONTROLLING INTERESTS	345,937	4	353,720	4	306,268	5
Total equity	3,896,880	47	4,153,216	50	3,688,227	55
TOTAL	$ 8,230,737	100	$ 8,226,390	100	$ 6,693,285	100

The accompanying notes are an integral part of the consolidated financial statements.

BAFANG YUNJI INTERNATIONAL CO., LTD. AND SUBSIDIARIES

CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME
(In Thousands of New Taiwan Dollars, Except Earnings Per Share)

	For the three months ended March 31			
	2026		2025	
	Amount	%	Amount	%
OPERATING REVENUE (Notes 4, 27 and 35)	$ 2,262,828	100	$ 2,177,349	100
OPERATING COSTS (Notes 4, 13 and 28)	(1,438,050)	(64)	(1,409,984)	(65)
GROSS PROFIT	824,778	36	767,365	35
OPERATING EXPENSES (Notes 25, 28, and 35)				
Selling and marketing expenses	(406,358)	(18)	(406,619)	(19)
General and administrative expenses	(129,950)	(6)	(115,227)	(5)
Research and development expenses	(4,552)	-	(4,499)	-
Total operating expenses	(540,860)	(24)	(526,345)	(24)
PROFIT FROM OPERATIONS	283,918	12	241,020	11
NON-OPERATING INCOME AND EXPENSES				
Interest income (Note 28)	3,599	-	1,376	-
Other income (Notes 16, 28, 31 and 35)	11,039	1	11,258	1
Other gains and losses (Note 16 and 28)	1,524	-	(6,552)	-
Finance costs (Notes 28 and 35)	(20,878)	(1)	(12,146)	(1)
Total non-operating income and expenses	(4,716)	-	(6,064)	-
PROFIT BEFORE INCOME TAX	279,202	12	234,956	11
INCOME TAX EXPENSE (Notes 4 and 29)	(56,223)	(2)	(45,638)	(2)
NET PROFIT FOR THE PERIOD	222,979	10	189,318	9
OTHER COMPREHENSIVE INCOME				
Items that may be reclassified subsequently to profit or loss:				
Exchange differences on translation of the financial statements of foreign operations (Note 26)	24,101	1	21,132	1
Income tax related to items that may be reclassified subsequently to profit or loss (Notes 4, 26 and 29)	(3,580)	-	(3,445)	-
Other comprehensive income for the period	20,521	1	17,687	1
TOTAL COMPREHENSIVE INCOME FOR THE PERIOD	$ 243,500	11	$ 207,005	10

(Continued)

BAFANG YUNJI INTERNATIONAL CO., LTD. AND SUBSIDIARIES

CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME
(In Thousands of New Taiwan Dollars, Except Earnings Per Share)

	For the three months ended March 31			
	2026		2025	
	Amount	%	Amount	%
NET PROFIT ATTRIBUTABLE TO:				
Owners of the Company	$ 236,960	11	$ 194,957	9
Non-controlling interests	(13,981)	(1)	(5,639)	-
	$ 222,979	10	$ 189,318	9
TOTAL COMPREHENSIVE INCOME ATTRIBUTABLE TO:				
Owners of the Company	$ 251,283	11	$ 208,731	10
Non-controlling interests	(7,783)	-	(1,726)	-
	$ 243,500	11	$ 207,005	10
EARNINGS PER SHARE (Note 30)				
Basic	$ 3.56		$ 2.93	
Diluted	$ 3.37		$ 2.92	

The accompanying notes are an integral part of the consolidated financial statements. (Concluded)

BAFANG YUNJI INTERNATIONAL CO., LTD. AND SUBSIDIARIES

CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY
FOR THE THREE MONTHS ENDED MARCH 31, 2026 and 2025
(In Thousands of New Taiwan Dollars)

	Equity Attributable to Owners of the Company									
	Share Capital			Retained Earnings			Other Equity			
	Number of Shares (In Thousands of Shares)	Amount	Capital Surplus	Legal Reserve	Special Reserve	Unappropriated Earnings	Exchange Differences on Translation of the Financial Statements of Foreign Operations	Total	Non-controlling Interests	Total Equity
BALANCE ON JANUARY 1, 2025	66,645	$ 666,448	$ 1,000,579	$ 495,473	$ 1,619	$ 1,362,129	$ 47,148	$ 3,573,396	$ 242,444	$ 3,815,840
Appropriation of earnings										
Cash dividends distributed by the Company	-	-	-	-	-	(400,168)	-	(400,168)	-	(400,168)
Net profit for the three months ended March 31, 2025	-	-	-	-	-	194,957	-	194,957	(5,639)	189,318
Other comprehensive income for the three months ended March 31, 2025, net of income tax	-	-	-	-	-	-	13,774	13,774	3,913	17,687
Total comprehensive income for the three months ended March 31, 2025	-	-	-	-	-	194,957	13,774	208,731	(1,726)	207,005
Non-controlling interests	-	-	-	-	-	-	-	-	65,550	65,550
BALANCE ON MARCH 31, 2025	66,645	$ 666,448	$ 1,000,579	$ 495,473	$ 1,619	$ 1,156,918	$ 60,922	$ 3,381,959	$ 306,268	$ 3,688,227
BALANCE ON JANUARY 1, 2026	66,645	$ 666,448	$ 1,076,754	$ 555,767	$ -	$ 1,492,800	$ 7,727	$ 3,799,496	$ 353,720	$ 4,153,216
Appropriation of earnings										
Cash dividends distributed by the Company	-	-	-	-	-	(499,836)	-	(499,836)	-	(499,836)
Net profit for the three months ended March 31, 2026	-	-	-	-	-	236,960	-	236,960	(13,981)	222,979
Other comprehensive income for the three months ended March 31, 2026, net of income tax	-	-	-	-	-	-	14,323	14,323	6,198	20,521
Total comprehensive income for the three months ended March 31, 2026	-	-	-	-	-	236,960	14,323	251,283	(7,783)	243,500
BALANCE ON MARCH 31, 2026	66,645	$ 666,448	$ 1,076,754	$ 555,767	$ -	$ 1,229,924	$ 22,050	$ 3,550,943	$ 345,937	$ 3,896,880

The accompanying notes are an integral part of the consolidated financial statements.

BAFANG YUNJI INTERNATIONAL CO., LTD. AND SUBSIDIARIES

CONSOLIDATED STATEMENTS OF CASH FLOWS
FOR THE THREE MONTHS ENDED MARCH 31, 2026 and 2025
(In Thousands of New Taiwan Dollars)

	2026	2025
CASH FLOWS FROM OPERATING ACTIVITIES		
Income before income tax	$ 279,202	$ 234,956
Adjustments for:		
Depreciation expense	190,009	195,655
Amortization expense	2,050	1,439
Net gain on fair value changes of financial assets and liabilities at fair value through profit or loss	(301)	(88)
Finance costs	20,878	12,146
Interest income	(3,599)	(1,376)
Loss (Gain) on disposal and write-off of property, plant and equipment	(427)	7,050
Loss (Gain) on lease modification	490	(294)
Changes in operating assets and liabilities		
Accounts receivables	(15,053)	(9,206)
Other receivables	172	(2,416)
Inventories	(71,685)	(73,712)
Prepayments	37,487	28,755
Other current assets	413	(623)
Notes payable	(390)	801
Accounts payables	18,308	24,366
Other payables	(105,270)	(122,236)
Other current liabilities	14,596	1,047
Net defined benefit liabilities	(3)	(42)
Cash generated from operations	366,877	296,222
Interest received	3,579	1,151
Interest paid	(3,112)	(2,377)
Income tax refunded	2,482	4,132
Net cash generated from operating activities	369,826	299,128
CASH FLOWS FROM INVESTING ACTIVITIES		
Proceeds from sale of financial assets at fair value through profit or loss	120,518	250,478
Purchase of financial assets at amortized cost	(24,796)	-
Proceeds from sale of financial assets at amortized cost	-	26,906
Payments for property, plant and equipment	(132,220)	(161,857)
Proceeds from disposal of property, plant and equipment	8,655	4,769
Decrease (Increase) in refundable deposits	6,961	(2,774)
Payments for intangible assets	(95)	(175)
Decrease in lease receivables	8,014	9,515
(Increase) Decrease in other financial assets	(620)	3
Increase in prepayments for equipment	(27,180)	(40,477)
Net cash (used in) generated from investing activities	(40,763)	86,388

(Continued)

BAFANG YUNJI INTERNATIONAL CO., LTD. AND SUBSIDIARIES

CONSOLIDATED STATEMENTS OF CASH FLOWS
FOR THE THREE MONTHS ENDED MARCH 31, 2026 and 2025
(In Thousands of New Taiwan Dollars)

	2026	2025
CASH FLOWS FROM FINANCING ACTIVITIES		
Repayments of short-term borrowings	$ -	$ (38,950)
Proceeds from long-term borrowings	28,468	-
Repayments of long-term borrowings	(3,392)	(1,191)
Proceeds from guarantee deposits received	7,146	2,797
Repayment of the principal portion of lease liabilities	(135,627)	(142,543)
Dividends paid	(266,579)	(132,990)
Changes in non-controlling interests	-	65,550
Net cash used in financing activities	(369,984)	(247,327)
EFFECTS OF EXCHANGE RATE CHANGES ON THE BALANCE OF CASH HELD IN FOREIGN CURRENCIES	11,855	9,103
NET (DECREASE) INCREASE IN CASH AND CASH EQUIVALENTS	(29,066)	147,292
CASH AND CASH EQUIVALENTS AT THE BEGINNING OF THE PERIOD	1,518,020	962,149
CASH AND CASH EQUIVALENTS AT THE END OF THE PERIOD	$ 1,488,954	$ 1,109,441

The accompanying notes are an integral part of the consolidated financial statements. (Concluded)

1. COMPANY HISTORY

Bafang Yunji International Co., Ltd. ("the Company") was incorporated on January 19, 2000, and is currently engaged in restaurant business, wholesale of food and groceries, retail of beverages, manufacturing of processed bean products, and manufacturing of baked and steamed food products.

The Company's shares have been listed on the Taiwan Stock Exchange since September 2021.

The consolidated financial statements are presented in the Company's functional currency, the New Taiwan dollar.

2. DATE AND PROCEDURE FOR APPROVAL OF FINANCIAL STATEMENTS

The accompanying consolidated financial statements were approved and authorized for issue by the Board of Directors on May 12, 2026.

3. APPLICATION OF NEW AND REVISED STANDARDS AND INTERPRETATION

a. Initial application of the amendments to the International Financial Reporting Standards (IFRS), International Accounting Standards (IAS), IFRIC Interpretations (IFRIC), and SIC Interpretations (SIC) (collectively, the "IFRS Accounting Standards") endorsed and issued into effect by the Financial Supervisory Commission (FSC)

Except for the following, the initial application of the IFRS Accounting Standards endorsed and issued into effect by the FSC did not have material impact on the Group's accounting policies:

1) Amendments to IFRS 9 and IFRS 7 "Amendments to the Classification and Measurement of Financial Instruments"

a) The amendments to the application guidance of classification of financial assets

The amendments mainly amend the requirements for the classification of financial assets, including:

i. If a financial asset contains a contingent feature that could change the timing or amount of contractual cash flows and the contingent event itself does not relate directly to changes in basic lending risks and costs (e.g., whether the debtor achieves a contractually specified reduction in carbon emissions), the financial asset has contractual cash flows that are solely payments of principal and interest on the principal amount outstanding if, and only if,

- In all possible scenarios (before and after the occurrence of a contingent event), the contractual cash flows are solely payments of principal and interest on the principal amount outstanding; and

- In all possible scenarios, the contractual cash flows would not be significantly different from the contractual cash flows on a financial instrument with identical contractual terms, but without such a contingent feature.

ii. To clarify that a financial asset has non-recourse features if an entity's ultimate right to receive cash flows is contractually limited to the cash flows generated by specified assets.

iii. To clarify that the characteristics of contractually linked instruments include a prioritization of payments to the holders of financial assets using multiple contractually linked instruments (tranches) established through a waterfall payment structure, resulting in concentrations of credit risk and a disproportionate allocation of cash shortfalls from the underlying pool between the tranches.

b) The amendments to the application guidance of derecognition of financial liabilities

The amendments mainly stipulate that a financial liability is derecognized on the settlement date. However, when settling a financial liability in cash using an electronic payment system, the Group can choose to derecognize the financial liability before the settlement date if, and only if, the Group has initiated a payment instruction that resulted in:

- The Group having no practical ability to withdraw, stop or cancel the payment instruction;
- The Group having no practical ability to access the cash to be used for settlement as a result of the payment instruction; and
- The settlement risk associated with the electronic payment system being insignificant.

2) Amendments to IFRS 9 and IFRS 7 "Contracts Referencing Nature-dependent Electricity"

Contracts referencing nature-dependent electricity are contracts that expose an entity to variability in the underlying amount of electricity because the source of electricity generation depends on uncontrollable natural conditions. Contracts referencing nature-dependent electricity include both contracts to buy or sell nature-dependent electricity and financial instruments that reference such electricity. When the Group enters into contracts to buy nature-dependent electricity, which exposes the Group to the risk that it would be required to buy electricity during a delivery interval in which the Group cannot use the electricity, and the design and operation of the electricity market require any amounts of unused electricity to be sold within a specified time, the amendments stipulate that such sales are not necessarily inconsistent with the contract being held in accordance with the Group's expected usage requirements. The inconsistency will result in the contract being accounted for as financial instruments otherwise. The Group entered into and continues to hold such a contract in accordance with its expected electricity usage requirements, if the Group has bought, and expects to buy, sufficient electricity to offset the sales of any unused electricity in the same market in which it sold the electricity over a reasonable amount of time.

The amendments also stipulate that, if contracts referencing nature-dependent electricity are designated as hedging instruments in hedges of forecast transactions, for such a hedging relationship the Group is permitted to designate as the hedged item a variable nominal amount of forecast electricity transactions that is aligned with the variable amount of nature-dependent electricity expected to be delivered by the generation facility as referenced in the hedging instrument.

Except for the above impact, as of the date the consolidated financial statements were authorized for issue, the Group has assessed that the application of other standards and interpretations will not have a material impact on the Group's financial position and financial performance.

b. The IFRS Accounting Standards in issue but not yet endorsed and issued into effect by the FSC

New, Amended and Revised Standards and Interpretations	Effective Date Announced by IASB (Note 1)
Amendments to IFRS 10 and IAS 28 "Sale or Contribution of Assets between an Investor and its Associate or Joint Venture"	To be determined by IASB
IFRS 18 "Presentation and Disclosure in Financial Statements"	January 1, 2027 (Note 2)
IFRS 19 "Subsidiaries without Public Accountability: Disclosures" (including the 2025 amendments to IFRS 19)	January 1, 2027
Amendments to IAS 21 "Translation to a Hyperinflationary Presentation Currency"	January 1, 2027

Note 1: Unless stated otherwise, the above IFRS Accounting Standards are effective for annual reporting periods beginning on or after their respective effective dates.

Note 2: On September 25, 2025, the FSC announced that IFRS 18 will take effect starting from January 1, 2028. Domestic entities could elect to apply IFRS 18 for an earlier period after the endorsement of IFRS 18 by the FSC.

1) Amendments to IFRS 10 and IAS 28 "Sale or Contribution of Assets between an Investor and its Associate or Joint Venture"

The amendments stipulate that, when the Group sells or contributes assets that constitute a business (as defined in IFRS 3) to an associate or joint venture, the gain or loss resulting from the transaction is recognized in full. Also, when the Group loses control of a subsidiary that contains a business but retains significant influence or joint control, the gain or loss resulting from the transaction is recognized in full.

Conversely, when the Group sells or contributes assets that do not constitute a business to an associate or joint venture, the gain or loss resulting from the transaction is recognized only to the extent of the Group's interest as an unrelated investor in the associate or joint venture, i.e., the Group's share of the gain or loss is eliminated. Also, when the Group loses control of a subsidiary that does not contain a business but retains significant influence or joint control over an associate or a joint venture, the gain or loss resulting from the transaction is recognized only to the extent of the Group's interest as an unrelated investor in the associate or joint venture, i.e., the Group's share of the gain or loss is eliminated.

2) IFRS 18 "Presentation and Disclosure in Financial Statements" and consequential amendments

IFRS 18 will supersede IAS 1 "Presentation of Financial Statements". The main changes comprise:

- To classify items of income and expenses presented in the statement of profit or loss into the operating, investing, financing, income taxes and discontinued operations categories, the Group shall assess whether it has specified main business activities of investing in particular types of assets and providing financing to customers.

- The statement of profit or loss shall present totals and subtotals for operating profit or loss, profit or loss before financing and income taxes and profit or loss.

- Provides guidance to enhance the requirements of aggregation and disaggregation: The Group shall identify the assets, liabilities, equity, income, expenses and cash flows that arise from individual transactions or other events and shall classify and aggregate them into groups based on shared characteristics, so as to result in the presentation in the primary financial statements of line

items that have at least one similar characteristic. The Group shall disaggregate items with dissimilar characteristics in the primary financial statements and in the notes. The Group labels items as "other" only if it cannot find a more informative label.

- Disclosures on Management-defined Performance Measures (MPMs): When in public communications outside financial statements and communicating to users of financial statements management's view of an aspect of the financial performance of the Group as a whole, the Group shall disclose related information about its MPMs in a single note to the financial statements, including the description of such measures, calculations, reconciliations to the subtotal or total specified by IFRS Accounting Standards and the income tax and non-controlling interests effects of related reconciliation items.

In addition, the following consequential amendments have been made to IAS 7 "Statement of Cash Flows":

- The Group shall use operating profit or loss as the starting point when presenting cash flows from operating activities under the indirect method.

- Interest and dividends received by the Group shall be classified as investing activities, while interest and dividends paid shall be classified as financing activities. However, if, after assessment, the Group has a specific main operating activity, it shall determine how to classify dividends received, interest received and interest paid in the statement of cash flows by referring to how it classifies dividend income, interest income and interest expense in the statement of profit or loss. The total of each of these cash flows shall be classified in a single category in the statement of cash flows.

Except for the above impact, as of the date the consolidated financial statements were authorized for issue, the Group is continuously assessing the other impacts of the above amended standards and interpretations on the Group's financial position and financial performance and will disclose the relevant impact when the assessment is completed.

4. SUMMARY OF MATERIAL ACCOUNTING POLICY INFORMATION

a. Statement of compliance

These interim consolidated financial statements have been prepared in accordance with the Regulations Governing the Preparation of Financial Reports by Securities Issuers and IAS 34 "Interim Financial Reporting" as endorsed and issued into effect by the FSC. Disclosure information included in these interim consolidated financial statements is less than the disclosure information required in a complete set of annual consolidated financial statements.

b. Basis of preparation

The consolidated financial statements have been prepared on the historical cost basis except for financial instruments which are measured at fair value.

The fair value measurements, which are grouped into Levels 1 to 3 based on the degree to which the fair value measurement inputs are observable and based on the significance of the inputs to the fair value measurement in its entirety, are described as follows:

1) Level 1 inputs are quoted prices (unadjusted) in active markets for identical assets or liabilities;

2) Level 2 inputs are inputs other than quoted prices included within Level 1 that are observable for an asset or liability, either directly (i.e., as prices) or indirectly (i.e., derived from prices); and

3) Level 3 inputs are unobservable inputs for an asset or liability.

c. Basis of consolidation

The consolidated financial statements incorporate the financial statements of the Company and the entities controlled by the Company (its subsidiaries). Income and expenses of subsidiaries acquired or disposed of during the period are included in the consolidated statement of comprehensive income from the effective dates of acquisitions up to the effective dates of disposals, as appropriate. When necessary, adjustments are made to the financial statements of subsidiaries to bring their accounting policies into line with those of the Group. All intra-group transactions, balances, income and expenses are eliminated in full upon consolidation. Total comprehensive income of subsidiaries is attributed to the owners of the Company and to the non-controlling interests even if this results in the non-controlling interests having a deficit balance.

Changes in the Group's ownership interests in subsidiaries that do not result in the Group losing control over the subsidiaries are accounted for as equity transactions. The carrying amounts of the interests of the Group and the non-controlling interests are adjusted to reflect the changes in their relative interests in the subsidiaries. Any difference between the amount by which the non-controlling interests are adjusted and the fair value of the consideration paid or received is recognized directly in equity and attributed to the owners of the Company.

See Note 14 and Table 5 of Note 40 for detailed information on subsidiaries (including percentages of ownership and main businesses).

d. Other material accounting policies

Except for the following, please refer to the consolidated financial statements for the year ended December 31, 2025.

1) Retirement benefits

Pension cost for an interim period is calculated on a year-to-date basis by using the actuarially determined pension cost rate at the end of the prior financial year, adjusted for significant market fluctuations since that time and for significant plan amendments, settlements, or other significant one-off events

2) Other long-term employee benefits

Other long-term employee benefits are accounted for in the same way as the accounting required for defined benefit plans except that remeasurement is recognized in profit or loss.

3) Income tax expense

Income tax expense represents the sum of the tax currently payable and deferred tax. Interim period income taxes are assessed on an annual basis and calculated by applying to an interim period's pre-tax income the tax rate that would be applicable to expected total annual earnings.

5. MATERIAL ACCOUNTING JUDGMENTS AND KEY SOURCES OF ESTIMATION UNCERTAINTY

In the application of the Group's accounting policies, management is required to make judgments, estimations, and assumptions on the carrying amounts of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other factors that are considered relevant. Actual results may differ from these estimates.

When developing material accounting estimates, the Group considers the possible impact of climate change and related government policies and regulations on the cash flow projection, growth rates, discount rates, profitability and other relevant material estimates. The estimates and underlying assumptions are reviewed on an ongoing basis. For other material accounting judgments and key sources of estimation uncertainty, refer to the consolidated financial statements for the year ended December 31, 2025.

6. CASH AND CASH EQUIVALENTS

	March 31, 2026	December 31, 2025	March 31, 2025
Cash on hand and working capital	$ 7,570	$ 6,640	$ 9,606
Checking accounts and demand deposits	1,481,384	1,035,437	976,514
Cash equivalents (investments with original maturities of 3 months or less)			
Time deposits	-	475,943	123,321
	$1,488,954	$1,518,020	$1,109,441

The market rate intervals of cash in the bank and bonds with repurchase agreements at the end of the period were as follows:

	March 31, 2026	December 31, 2025	March 31, 2025
Bank deposits	0%-1.87%	0%-1.645%	0%-4.15%

7. FINANCIAL INSTRUMENTS AT FAIR VALUE THROUGH PROFIT OR LOSS

	March 31, 2026	December 31, 2025	March 31, 2025
Financial assets mandatorily classified as at FVTPL			
Hybrid financial assets			
Structured deposits	$ -	$ 120,017	$ -
Call options of convertible corporate bonds (Note 21)	200	400	-
	$ 200	$ 120,417	$ -

The Group has entered into a structured time deposit agreement with a financial institution. This structured time deposit includes an embedded derivative that is not closely related to the host contract. Since the host contract of this hybrid contract is an asset within the scope of IFRS 9, the entire hybrid contract is required to be classified as measured at fair value through profit or loss.

8. FINANCIAL ASSETS AT AMORTIZED COST

	March 31, 2026	December 31, 2025	March 31, 2025
Current			
Time deposits with original maturities of more than 3 months	$ 514,797	$ 490,001	$ 81,644
Corporate bonds - First Commercial Bank	19,721	19,721	-
	$ 534,518	$ 509,722	$ 81,644
Non-current			
Corporate bonds - First Commercial Bank	$ -	$ -	$ 9,780

The ranges of interest rates for time deposits with original maturities of more than 3 months were approximately 1.285%-3.55%, 1.285%-3.55% and 1.285%-4.1% per annum as of March 31, 2026, December 31, 2025 and March 31, 2025, respectively.

The Group held 5-year corporate bonds issued by First Commercial Bank with a coupon rate of 0.52% and an effective interest rate of 0.82%-1.28% as of March 31, 2026 and December 31, 2025.

Refer to Note 36 for information relating to investments in financial assets at amortized cost pledged as security.

9. CREDIT RISK MANAGEMENT FOR INVESTMENTS IN DEBT INSTRUMENTS

Investments in debt instruments classified as at amortized cost were as follows:

	March 31, 2026	December 31, 2025	March 31, 2025
Gross carrying amount	$ 534,518	$ 509,722	$ 91,424
Less: Allowance for impairment loss	-	-	-
Amortized cost	$ 534,518	$ 509,722	$ 91,424

The credit risk associated with the Group's bank deposits and other financial instruments is measured and monitored by the Group's finance department. Since the Group's counterparties and trading partners are reputable banks and financial institutions, as well as corporate organizations with investment-grade ratings or higher, there are no significant concerns regarding performance, and therefore, no significant credit risk.

The Group's current credit risk grading mechanism and the gross carrying amounts of debt instrument investments classified by credit category were shown below:

Category	Description	Basis for Recognizing Expected Credit Losses (ECLs)	Expected Loss Rate	Gross Carrying Amount as of March 31 2026	Gross Carrying Amount as of December 31 2025	Gross Carrying Amount as of March 31 2025
Performing	The counterparty has a low risk of default and a strong capacity to meet contractual cash flows	12m ECLs	0%	$ 534,518	$ 509,722	$ 91,424

10. FINANCIAL ASSETS AT FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME

Investment in Equity Instruments at Fair Value Through Other Comprehensive Income (FVTOCI)

	March 31, 2026	December 31, 2025	March 31, 2025
Non-current			
Domestic investments			
Unlisted shares			
Ordinary shares - WiXtar Corporation	$ 3,750	$ 3,750	$ 3,750

The Group invested in the common stock of WiXtar Corporation for medium- and long-term strategic purposes and expects to earn profits from the long-term investment. The management of the Group considers that it is inconsistent with the aforementioned long-term investment plan to include short-term fair value fluctuations of these investments in profit or loss, and therefore elects to designate these investments as measured at fair value through other comprehensive income.

11. ACCOUNTS RECEIVABLES AND OTHER RECEIVABLES

	March 31, 2026	December 31, 2025	March 31, 2025
Accounts receivables			
At amortized cost			
Gross carrying amount			
Non-related parties	$ 193,739	$ 178,850	$ 187,481
Related parties (Note 35)	1,414	1,250	1,343
Less: Allowance for impairment loss	(1,473)	(1,461)	(1,524)
	$ 193,680	$ 178,639	$ 187,300

	March 31, 2026	December 31, 2025	March 31, 2025
Other receivables			
Proceeds receivable from disposal of equipment	$ -	$ 72	$ 858
Interest receivable	241	496	195
Receivables from related parties (Note 35)	-	1	3
Others	5,894	6,065	6,705
	$ 6,135	$ 6,634	$ 7,761

a. Accounts receivable

The Group's sales of goods to franchise customers are based on the credit period agreed upon by both parties, and the credit period is 3 to 15 days. Cash (or EasyCard and mobile payment) is mostly used for collection and payment for food and beverage sales, except for accounts receivable from some locations in hypermarkets or department stores and those from conglomerate partnerships, which are mainly based on the credit period negotiated by both parties, with the credit period ranging from 30 to 90 days after the monthly cut-off date. In determining the recoverability of accounts receivable, the Group considers any changes in the credit quality of accounts receivable from the original credit date to the end of the reporting period.

To mitigate credit risk, the Group's management assigns a dedicated team to determine credit limits, approve credit facilities and other monitoring procedures to ensure that appropriate actions are taken to collect overdue receivables. In addition, the Group reviews the recoverable amounts of receivables on a case-by-case basis at the end of the reporting period to ensure that appropriate impairment losses have been provided for uncollectible receivables. Accordingly, the Company's management believes that the credit risk of the Group has been significantly reduced.

The Group uses the simplified IFRS 9 method to recognize an allowance for losses on accounts receivable based on expected credit losses over the duration of the receivables. The expected credit losses for the duration of the period are calculated using an allowance matrix, which takes into account the customer's past default history and current financial condition, the economic situation of the industry, as well as the GDP forecast and industry outlook. Since the credit loss history of the Group shows that there is no significant difference in the loss patterns of different customer groups, the allowance matrix does not further differentiate between customer groups and only uses the number of days to establish accounts receivable to determine the expected credit loss rate.

If there is evidence that the counterparty is in serious financial difficulty and the Group cannot reasonably expect to recover the amount, for example, if the counterparty is in liquidation or the debt has been outstanding for more than 120 days, the Group directly writes off the related receivables, but continues the recovery activities, and the amount recovered from the recovery is recognized in profit or loss.

The following table details the loss allowance of accounts receivables and notes receivables based on the Group’s allowance matrix.

March 31, 2026

	0 to 30 Days	31 to 60 Days	61 to 90 Days	91 to 120 Days	Over 120 Days	Total
Expected credit loss rate	0.01%-0.03%	0.11%-6.25%	8%-25%	16%-25.79%	100%	
Gross carrying amount	$ 189,213	$ 5,241	$ 297	$ 44	$ 358	$ 195,153
Loss allowance (Lifetime ECLs)	(966)	(118)	(24)	(7)	(358)	(1,473)
Amortized cost	$ 188,247	$ 5,123	$ 273	$ 37	$ -	$ 193,680

December 31, 2025

	0 to 30 Days	31 to 60 Days	61 to 90 Days	91 to 120 Days	Over 120 Days	Total
Expected credit loss rate	0.02%-0.06%	0.33%-4.69%	15.97%-19.69%	29.25%-40.67%	100%	
Gross carrying amount	$ 174,506	$ 5,151	$ 116	$ -	$ 327	$ 180,100
Loss allowance (Lifetime ECLs)	(983)	(128)	(23)	-	(327)	(1,461)
Amortized cost	$ 173,523	$ 5,023	$ 93	$ -	$ -	$ 178,639

March 31, 2025

	0 to 30 Days	31 to 60 Days	61 to 90 Days	91 to 120 Days	Over 120 Days	Total
Expected credit loss rate	0.01%-0.05%	0.09%-6.96%	5.33%-21.17%	16.00%-44.21%	100%	
Gross carrying amount	$ 177,411	$ 11,091	$ 32	$ -	$ 290	$ 188,824
Loss allowance (Lifetime ECLs)	(1,091)	(139)	(4)	-	(290)	(1,524)
Amortized cost	$ 176,320	$ 10,952	$ 28	$ -	$ -	$ 187,300

The above is an aging analysis based on the number of days since initial recognition of the accounts receivables.

The movements of the loss allowance of accounts receivables were as follows:

	For the three months ended March 31	
	2026	2025
Balance on January 1	$ 1,461	$ 1,511
Foreign exchange gains and losses	12	13
Balance on March 31	$ 1,473	$ 1,524

b. Other receivables

No interest is charged on other receivables. In order to minimize credit risk, the management of the Group has delegated a team responsible for determining credit limits, credit approvals and other monitoring procedures to ensure that follow-up action is taken to recover overdue debts. In addition, the Group reviews the recoverable amount of each individual trade debt at the end of the reporting period to ensure that adequate allowance is made for possible irrecoverable amounts.

12. LEASE RECEIVABLES

	March 31, 2026	December 31, 2025	March 31, 2025
Current	$ 20,222	$ 26,004	$ 28,769
Non-current	38,769	46,459	31,503
	$ 58,991	$ 72,463	$ 60,272

	March 31, 2026	December 31, 2025	March 31, 2025
Undiscounted lease payments			
Year 1	$ 21,991	$ 28,144	$ 30,345
Year 2	14,965	17,517	17,260
Year 3	10,001	12,718	9,202
Year 4	9,586	9,679	2,725
Year 5	4,218	6,545	1,796
Year 6 onwards	-	-	520
	60,761	74,603	61,848
Unrealized interest income receivable	(1,770)	(2,140)	(1,576)
Lease receivables	$ 58,991	$ 72,463	$ 60,272

The Group has been subleasing its leased retail stores to franchisees with annual fixed lease payments. All these leases are denominated in New Taiwan dollars. As the Group subleases the retail stores for all the remaining lease term of the main lease to the sublessee, the subleases are classified as lease receivables.

The interest rates inherent in leases are fixed at the contract dates for the entire term of the lease. The ranges of interest rates inherent in the finance leases were approximately 1.42%-1.75% per annum as of March 31, 2026, December 31, 2025 and March 31, 2025, respectively.

The Group measures the loss allowance for finance lease receivables at an amount equal to lifetime ECLs. As of the end of the reporting period, no finance lease receivable was past due. The Group has not recognized a loss allowance for lease receivables after taking into consideration the historical default experience and the future prospects of the industries in which the lessees operate, together with the value of collateral held over these lease receivables.

Lease commitments (the Group as a lessor) with lease terms commencing after the end of the reporting period refer to Note 16.

13. INVENTORIES

	March 31, 2026	December 31, 2025	March 31, 2025
Raw materials	$ 416,576	$ 340,281	$ 276,104
Semi-finished goods	17,744	17,624	11,941
Finished goods	33,611	37,026	35,160
Merchandise inventory	49,457	50,781	49,450
	$ 517,388	$ 445,712	$ 372,655

The nature of cost of goods sold is as follows:

	For the three months ended March 31	
	2026	2025
Cost of inventories sold	$ 1,438,050	$ 1,409,984

14. SUBSIDIARIES

a. Subsidiaries included in consolidated financial statements

Entities covered by the consolidated financial statements were as follows:

Investor	Investee	Nature of activities	Proportion of Ownership			Remarks
			March 31, 2026	December 31, 2025	March 31, 2025	
Bafang Yunji International Co., Ltd.	Bafang Yunji (Samoa) International Co., Ltd.	Holding	100%	100%	100%	-
Bafang Yunji International Co., Ltd.	Bafang Yunji International (USA) Limited	Holding	100%	100%	100%	1)
Bafang Yunji International Co., Ltd.	Bafang Co., Ltd.	Food and beverage manufacturing and sales	100%	100%	100%	-
Bafang Yunji International Co., Ltd.	Bafang Yunji International Company Limited	Food and beverage manufacturing and sales	100%	100%	100%	-
Bafang Yunji International Co., Ltd.	Bafang Yunji Restaurant Co., Ltd.	Food and beverage manufacturing and sales	100%	100%	100%	-
Bafang Yunji International Co., Ltd.	Dante Coffee & Foods Co., Ltd.	Food and beverage manufacturing and sales	100%	100%	100%	-
Bafang Yunji International Co., Ltd.	Ji Yuan Foods Co., Ltd.	Livestock products manufacturing and sales	100%	100%	100%	-
Bafang Yunji International Co., Ltd.	Fang Sin International Trading Co., Ltd.	International Trade	100%	100%	100%	-
Bafang Yunji (Samoa) International Co., Ltd.	Bafang Yunji Restaurant Group Limited	Holding	-	-	-	4)
Bafang Yunji International Company Limited	Jiashide Limited	Holding	100%	100%	100%	-
Bafang Yunji International Company Limited	Hsin Chiao International Co. Limited	Transportation	100%	100%	100%	-
Bafang Yunji International Company Limited	Long Success (HK) Industrial Limited	Food and beverage manufacturing and sales	100%	100%	100%	-
Bafang Yunji International Company Limited	Rich Grade Limited	Food and beverage manufacturing and sales	100%	100%	100%	-
Bafang Yunji International Company Limited	Wise Success Enterprise Limited	Transportation	100%	100%	100%	-
Jiashide Limited	Heng Yue Feng Trading (Shenzhen) Co., Ltd.	Food wholesale	100%	100%	100%	-
Bafang Yunji International (USA) Limited	Bafang Yunji Foods LLC	Food and beverage manufacturing and sales	60%	60%	60%	-
Bafang Yunji International (USA) Limited	Bafang Yunji Franchise (USA) Co.	Franchising	100%	100%	100%	-
Bafang Yunji International (USA) Limited	Bafang Yunji Restaurant Group LLC	Food and beverage manufacturing and sales	60%	60%	60%	-
Bafang Yunji International (USA) Limited	Bafang Yunji Texas Corporation	Holding	60%	60%	60%	2)
Bafang Yunji Texas Corporation	Bafang Yunji Foods Texas LLC	Food and beverage manufacturing and sales	100%	100%	100%	2)
Bafang Yunji Texas Corporation	Bafang Yunji Restaurant Group Texas LLC	Food and beverage manufacturing and sales	100%	100%	100%	3)

Remarks:

1) The Group made capital injections of $127,523 thousand (USD 4,000 thousand) and $225,560 thousand (USD 7,200 thousand) in Bafang Yunji International (USA) Limited in March 2026 and 2025, respectively.

2) The Group made capital injections of $207,621 thousand (US$6,600 thousand) and $183,750 thousand (US$6,000 thousand) into Bafang Yunji Texas Corporation and Bafang Yunji Foods Texas LLC in 2025.

3) The Group made a cash investment of $148,163 thousand (US$4,500 thousand) in March 2025, to establish Bafang Yunji Restaurant Group Texas LLC, with shareholding ratio of 100%.

4) Bafang Yunji Restaurant Group Limited was dissolved in February 2025.

For information on the principal place of business and the country of incorporation, please refer to Note 40, Table 5, "Information on investees, locations, etc." and Table 6, "Information on investment in Mainland China".

The income and other comprehensive income of subsidiaries included in consolidated financial statements were recognized based on the subsidiaries' financial statements reviewed by CPA for the same reporting periods.

b. Subsidiaries excluded from the consolidated financial statements: None.

c. Details of subsidiaries that have material non-controlling interests

Name of subsidiary	Principal place of business	Percentage of equity and voting rights held by non-controlling interests		
		March 31, 2026	December 31, 2025	March 31, 2025
Bafang Yunji Foods LLC	United States	40%	40%	40%
Bafang Yunji Restaurant Group LLC	United States	40%	40%	40%
Bafang Yunji Texas Corporation	United States	40%	40%	40%

Name of Subsidiary	Profit (Loss) Allocated to Non-controlling Interests For the three months Ended March 31		Accumulated Non-controlling Interests		
	2026	2025	March 31, 2026	December 31, 2025	March 31, 2025
Bafang Yunji Foods LLC	$ (3,191)	$ (4,570)	$ 25,205	$ 27,932	$ 24,933
Bafang Yunji Restaurant Group LLC	(1,394)	39	50,329	50,825	57,158
Bafang Yunji Texas Corporation	(9,396)	(1,108)	270,403	274,963	224,177
	$ (13,981)	$ (5,639)	$ 345,937	$ 353,720	$ 306,268

15. PROPERTY, PLANT AND EQUIPMENT

	March 31, 2026	December 31, 2025	March 31, 2025
Assets used by the Group	$ 3,354,712	$ 3,292,432	$ 2,957,701

	Land	Building and construction	Transportation equipment	Food and beverage equipment	Office equipment	Machinery equipment	Leasehold improvements	Other equipment	Unfinished construction and equipment pending acceptance	Total
Cost										
Balance at January 1, 2026	$ 868,826	$ 1,062,047	$ 102,337	$ 347,132	$ 26,529	$ 911,069	$ 701,313	$ 179,559	$ 580,032	$ 4,778,844
Addition	-	299	3,953	7,923	40	3,227	9,799	625	95,476	121,342
Reclassification	-	573	215	540	-	13,080	15,191	9,593	(35,588)	3,604
Disposal	-	-	-	(17,991)	(637)	(4,956)	(9,258)	(265)	(440)	(33,547)
Net exchange differences	775	7,002	572	1,932	273	1,184	7,332	536	3,182	22,788
Balance at March 31, 2026	$ 869,601	$ 1,069,921	$ 107,077	$ 339,536	$ 26,205	$ 923,604	$ 724,377	$ 190,048	$ 642,662	$ 4,893,031
Accumulated depreciation and impairment										
Balance at January 1, 2026	$ -	$ 223,503	$ 54,407	$ 245,896	$ 21,787	$ 554,260	$ 293,995	$ 92,564	$ -	$ 1,486,412
Depreciation expenses	-	9,572	3,677	11,246	702	24,144	17,017	5,129	-	71,487
Reclassification	-	-	-	(181)	181	-	-	-	-	-
Disposal	-	-	-	(15,576)	(789)	(287)	(8,474)	(265)	-	(25,391)
Net exchange differences	-	769	296	1,270	217	941	2,286	32	-	5,811
Balance at March 31, 2026	$ -	$ 233,844	$ 58,380	$ 242,655	$ 22,098	$ 579,058	$ 304,824	$ 97,460	$ -	$ 1,538,319
Net amount at March 31, 2026	$ 869,601	$ 836,077	$ 48,697	$ 96,881	$ 4,107	$ 344,546	$ 419,553	$ 92,588	$ 642,662	$ 3,354,712
Net amount at January 1, 2026	$ 868,826	$ 838,544	$ 47,930	$ 101,236	$ 4,742	$ 356,809	$ 407,318	$ 86,995	$ 580,032	$ 3,292,432

	Land	Building and construction	Transportation equipment	Food and beverage equipment	Office equipment	Machinery equipment	Leasehold improvements	Other equipment	Unfinished construction and equipment pending acceptance	Total
Cost										
Balance at January 1, 2025	$ 851,665	$ 1,008,118	$ 86,586	$ 379,095	$ 28,132	$ 751,178	$ 648,732	$ 120,811	$ 320,656	$ 4,194,973
Addition	-	32,517	-	9,249	396	4,296	12,091	3,870	59,939	122,358
Reclassification	-	123	-	1,331	(1,283)	9,580	17,467	412	(2,863)	24,767
Disposal	-	-	-	(7,231)	-	-	(16,347)	-	(65)	(23,643)
Net exchange differences	2,965	6,437	324	1,626	250	1,077	4,624	21	501	17,825
Balance at March 31, 2025	$ 854,630	$ 1,047,195	$ 86,910	$ 384,070	$ 27,495	$ 766,131	$ 666,567	$ 125,114	$ 378,168	$ 4,336,280
Accumulated depreciation and impairment										
Balance at January 1, 2025	$ -	$ 189,612	$ 47,321	$ 242,622	$ 19,392	$ 465,506	$ 275,299	$ 76,017	$ -	$ 1,315,769
Depreciation expenses	-	7,949	3,173	14,039	1,042	22,639	17,489	3,314	-	69,645
Disposal	-	-	-	(4,100)	-	-	(7,633)	-	-	(11,733)
Net exchange differences	-	985	219	1,071	172	819	1,614	18	-	4,898
Balance at March 31, 2025	$ -	$ 198,546	$ 50,713	$ 253,632	$ 20,606	$ 488,964	$ 286,769	$ 79,349	$ -	$ 1,378,579
Net amount at March 31, 2025	$ 854,630	$ 848,649	$ 36,197	$ 130,438	$ 6,889	$ 277,167	$ 379,798	$ 45,765	$ 378,168	$ 2,957,701

The Group's property, plant and equipment are depreciated on a straight-line basis over the following useful lives:

Building and construction	
Plant main building	22 to 50 years
Wastewater treatment equipment	10 years
Renovation construction	4 to 5 years
Transportation equipment	1 to 7 years
Food and beverage equipment	1 to 10 years
Office equipment	1 to 10 years
Machinery equipment	1 to 7 years
Leasehold improvements	2 to 20 years
Other equipment	3 to 15 years

In 2025, the Group purchased land classified as agricultural and livestock use in the Tianyuan Section of Tamsui District, New Taipei City, under the chairperson’s name, for a total price of NT$20,821 thousand. The Group has executed a real estate nominee registration agreement, stipulating that, without consent, the registered owner may not transfer or encumber the property, as an appropriate safeguard measure.

For property, plant and equipment pledged as collateral for loans by the Group, please refer to Note 36.

16. LEASE AGREEMENTS

a. Right-of-use assets

	March 31, 2026	December 31, 2025	March 31, 2025
Carrying amount			
Land	$ 129,295	$ 131,393	$ 137,686
Buildings	1,287,856	1,261,837	1,201,406
Transportation equipment	133,540	140,753	102,459
	$ 1,550,691	$ 1,533,983	$ 1,441,551

	For the three months ended March 31	
	2026	2025
Addition of right-of-use assets		
Buildings	$ 126,484	$ 86,428
Transportation equipment	6,826	9,006
	$ 133,310	$ 95,434
Depreciation expenses of right-of-use assets		
Land	$ 2,098	$ 2,098
Buildings	102,385	110,531
Transportation equipment	14,039	13,381
	$ 118,522	$ 126,010
Income from the subleasing of right-of-use assets (presented in rental income under other income)	$ 916	$ 1,822

b. Lease liabilities

	March 31, 2026	December 31, 2025	March 31, 2025
Carrying amount			
Current	$ 408,538	$ 415,115	$ 372,774
Non-current	$ 1,242,450	$ 1,227,900	$ 1,156,943

The discount rate range for lease liabilities is as follows

	March 31, 2026	December 31, 2025	March 31, 2025
Land	1.42%	1.42%	1.42%
Building and construction	1.42%-6.6%	1.42%-6.6%	1.25%-4.75%
Transportation equipment	1.25%-1.75%	1.25%-1.75%	1.25%-1.75%

c. Material leasing activities and terms

The Group leases certain land and buildings for the use of plants and offices with lease terms of 1 to 20 years. The Group does not have bargain purchase options to acquire the leasehold land and buildings at the end of the lease terms.

The Group incurred lease modification losses of $490 thousand and lease modification gains of $294 thousand for the three months ended March 31, 2026 and 2025, respectively.

d. Subleases

The total future lease payments to be received under operating subleases are as follows:

	March 31, 2026	December 31, 2025	March 31, 2025
Year 1	$ 2,659	$ 3,097	$ 2,511
Year 2	2,029	2,029	1,230
Year 3	1,829	1,979	600
Year 4	357	714	400
Year 5	-	-	-
	$ 6,874	$ 7,819	$ 4,741

e. Other lease information

	For the three months ended March 31	
	2026	2025
Expenses relating to short-term leases	$ 5,152	$ 2,827
Expenses relating to low-value asset leases	$ 140	$ 321
Expenses relating to variable lease payments not included in the measurement of lease liabilities	$ 2,416	$ 2,366
Total cash (outflow) for leases	$ (143,335)	$(148,057)

The Group's leases of certain office equipment qualify as low-value asset leases. The Group has elected to apply the recognition exemption and thus, did not recognize right-of-use assets and lease liabilities for these leases.

All lease commitments (the Group as a lessee) with lease terms commencing after the end of the reporting period are as follows:

	March 31	
	2026	2025
Lease commitments	$ 218,883	$ 387,488

17. OTHER INTANGIBLE ASSETS

	For the three months ended March 31	
	2026	2025
Cost		
Balance at the beginning of the period	$ 57,702	$ 46,151
Additions	95	175
Disposals	(1,374)	(145)
Reclassification	838	-
Effect of foreign currency exchange differences	66	73
Balance at the end of the period	$ 57,327	$ 46,254
Accumulated amortization		
Balance at the beginning of the period	$ 33,457	$ 28,677
Amortization expenses	2,050	1,439
Disposals	(1,374)	(145)
Effect of foreign currency exchange differences	62	67
Balance at the end of the period	$ 34,195	$ 30,038
Carrying amount at the end of the period	$ 23,132	$ 16,216

Other intangible assets are amortized on a straight-line basis over their estimated useful lives as follows:

Computer software	5-10 years

18. PREPAYMENTS

	March 31, 2026	December 31, 2025	March 31, 2025
Prepaid rent	$ 5,402	$ 8,727	$ 8,722
Prepaid insurance	5,686	4,323	7,567
Prepayments for goods	49,569	90,147	55,331
Supplies inventory	6,753	6,298	6,664
Others	45,511	40,913	42,076
	$ 112,921	$ 150,408	$ 120,360

Prepayments for Goods

The Group's prepayments for goods primarily represent advance payments made in accordance with purchase agreements entered into with domestic and foreign suppliers.

19. OTHER ASSETS

	March 31, 2026	December 31, 2025	March 31, 2025
Current			
Temporary payments	$ 471	$ 306	$ 306
Other financial assets - current (a)	37,058	36,438	1,858
Others	2,508	3,086	1,243
	$ 40,037	$ 39,830	$ 3,407
Non-current			
Prepayments for equipment (b)	$ 168,513	$ 145,775	$ 126,894
Refundable deposits (c)	$ 165,609	$ 172,570	$ 180,649

a. Other financial assets - restricted bank deposits

The Group's other financial assets-restricted bank demand deposits are mainly electronic transfer service of money and trust lodgments for the issuance of stored value cards and gift certificates, as described in Note 36.

b. Prepayments for equipment

The Group’s prepayments for equipment are advanced payments for the purchase of property, plant and equipment used in the production of products or services.

c. Refundable deposits

The refundable deposits are cash pledges provided by the Group under lease agreements to acquire the real estate right-of-use assets in its sales stores.

20. BORROWINGS

a. Short-term borrowings

	March 31, 2026	December 31, 2025	March 31, 2025
Unsecured borrowings	$ 111,983	$ 110,005	$ 143,013

As of March 31, 2026, December 31, 2025 and March 31, 2025, effective interest rates were 6.02% to 6.57%, 5.62% to 6.78% and 1.95% to 6.78% per annum, respectively. The amount drawn was used for short-term operating turnover and material purchases.

b. Long-term borrowings

	Maturity Date	Significant Terms	Effective Interest Rate	March 31, 2026	December 31, 2025	March 31, 2025
Secured borrowings (Note 36)						
Hang Seng Bank Limited						
Mortgage borrowings	2021.6.1-2031.6.1	The total borrowing amount of HK$10,600,000 is repayable in 120 equal monthly installments of principal, starting from June 1, 2021. Interest is accrued and paid on a monthly basis.	2.50%	$ 24,256	$ 25,069	$ 29,813
TOYOTA FINANCE						
Mortgage borrowings	2022.3.23-2027.4.22	The total borrowing amount of US$36,726 is repayable in 60 installments of principal, starting from March 23, 2022. Interest is accrued and paid on a monthly basis.	3.9%	254	310	517
Mortgage borrowings	2022.12.24-2027.12.24	The total borrowing amount of US$28,326 is repayable in 60 installments of principal, starting from December 24, 2022. Interest is accrued and paid on a monthly basis.	1.99%	328	367	529
Bank SinoPac						
Bank loans	2025.10.15-2028.10.15	The total loan amount is USD 1,000,000. Starting from October 15, 2025, repayment of principal shall be waived for the first 18 months. Beginning from the 19th month, the principal shall be repaid in seven installments, with each installment period being three months. The expiration date of the grace period shall be deemed the due date of the first installment. For the first through sixth installments, 6.5% of the principal shall be repaid in each installment, and the remaining outstanding principal shall be fully repaid in the seventh installment.	5.70%	31,995	31,430	-
First Commercial Bank						
Bank loans	2025.6.11 - 2028.6.11	The total borrowing amount is US$500,000. Beginning from June 11, 2025, repayment of principal is waived for the first six months. Thereafter, the principal shall be repaid in 30 installments, with interest accrued and payable on a monthly basis.	5.55%	14,397	15,715	-
Bank loans	2025.8.13 - 2028.8.13	The total borrowing amount is US$600,000. Beginning from August 13, 2025, repayment of principal is waived for the first six months. Thereafter, the principal shall be repaid in 36 installments, with interest accrued and payable on a monthly basis.	5.55%	18,557	18,858	-

	Maturity Date	Significant Terms	Effective Interest Rate	March 31, 2026	December 31, 2025	March 31, 2025
Bank loans	2026.2.11 - 2029.1.11	The total borrowing amount is US$900,000. Beginning from February 11, 2026, repayment of principal is waived for the first six months. Thereafter, the principal shall be repaid in 36 installments, with interest accrued and payable on a monthly basis.	5.55%	28,795	-	-
Less: Current portion				(25,615)	(17,307)	(4,876)
Long-term borrowings				$ 92,967	$ 74,442	$ 25,983

The bank borrowings are secured by the Group's freehold land and buildings. Refer to Note 36.

21. BONDS PAYABLE

	March 31, 2026	December 31, 2025	March 31, 2025
Unsecured domestic convertible bonds	$ 946,399	$ 941,301	$ -
Less: Current portion	-	-	-
	$ 946,399	$ 941,301	$ -

First Unsecured Domestic Convertible Bonds

The Company issued its First Domestic Unsecured Convertible Bonds on October 9, 2025. The total face value of the issuance was NT$800,000 thousand, with a par value of NT$100 thousand per bond, issued at 100.5% of par value, for a total of 8 thousand bonds issued. The bonds carry a coupon rate of 0% per annum and have a term of three years, maturing on October 9, 2028.

The redemption and conversion terms are as follows:

1. The Company may, the day after three months of the issuance date until the day preceding the maturity date, redeem the bonds at par value in accordance with the terms and conditions agreed upon.

2. Bondholders may, from the day after three months of the issuance date until the maturity date, request conversion of the bonds into the Company's common shares.

3. The conversion price of the convertible bonds was determined with September 30, 2025 as the pricing reference date. The benchmark price was selected from the simple arithmetic average of the closing prices of the Company's common shares for one, three, or five business days prior to (excluding) the reference date, whichever was chosen. The conversion price was then determined by multiplying the benchmark price by a conversion premium rate of 105.21%. Pursuant to the foregoing method, the benchmark price determined based on the simple arithmetic average of the closing price of the Company's common shares for the one business day prior to the reference date was NT$201.5 per share, resulting in a conversion price of $212 per share.

4. The conversion price of the Company's First Domestic Unsecured Convertible Bonds was adjusted in accordance with the anti-dilution provisions under the conversion terms. Effective December 31, 2025, the conversion price was adjusted from $212 to $207.6.

The convertible bonds contain both liability and equity components. The equity component was presented in equity under the heading of capital surplus - options. The effective interest rate of the liability component was 2.19% per annum on initial recognition.

Proceeds from issuance (less transaction costs of $4,166 thousand)	$	799,834
Equity component (less transaction costs allocated to the equity component of $250 thousand)		(50,310)
Call option value		240
Liability component at the date of issue (less transaction costs allocated to the liability component of $3,916 thousand)		749,764
Interest charged at an effective interest rate of 2.19%		3,385
Liability component on December 31, 2025		753,149
Interest charged at an effective interest rate of 2.19%		4,081
Liability component on March 31, 2026	$	757,230

Second Unsecured Domestic Convertible Bonds

The Company issued its Second Domestic Unsecured Convertible Bonds on October 20, 2025. The total face value of the issuance was NT$200,000 thousand, with a par value of NT$100 thousand per bond. The bonds were publicly offered through a competitive auction process and issued at 107.18% of face value, with a total issuance of 2 thousand bonds. The annual coupon rate is 0%, the term of the bonds is three years, and the maturity date is October 20, 2028.

The redemption and conversion terms are as follows:

1. The Company may, the day after three months of the issuance date until the day preceding the maturity date, redeem the bonds at par value in accordance with the terms and conditions agreed upon.

2. Bondholders may, from the day after three months of the issuance date until the maturity date, request conversion of the bonds into the Company's common shares.

3. The conversion price of the convertible bonds was determined with September 25, 2025 as the pricing reference date. The benchmark price was selected from the simple arithmetic average of the closing prices of the Company's common shares for one, three, or five business days prior to (excluding) the reference date, whichever was chosen. The conversion price was then determined by multiplying the benchmark price by a conversion premium rate of 102.44%. Pursuant to the foregoing method, the benchmark price determined based on the simple arithmetic average of the closing price of the Company's common shares for the one business day prior to the reference date was $205 per share, resulting in a conversion price of $210 per share.

4. The conversion price of the Company's Second Domestic Unsecured Convertible Bonds was adjusted in accordance with the anti-dilution provisions under the conversion terms. Effective December 31, 2025, the conversion price was adjusted from $210 to $205.6.

The convertible bonds contain both liability and equity components. The equity component was presented in equity under the heading of capital surplus - options. The effective interest rate of the liability component was 2.18% per annum on initial recognition.

Proceeds from issuance (less transaction costs of $1,071 thousand)	$	213,283
Equity component (less transaction costs allocated to the equity component of $128 thousand)		(25,865)
Call option value		60
Liability component at the date of issue (less transaction costs allocated to the liability component of $943 thousand)		187,478
Interest charged at an effective interest rate of 2.18%		674
Liability component on December 31, 2025		188,152
Interest charged at an effective interest rate of 2.18%		1,017
Liability component on March 31, 2026	$	189,169

22. NOTES PAYABLE AND ACCOUNTS PAYABLES

	March 31, 2026	December 31, 2025	March 31, 2025
Notes payable			
Operating	$ 1,032	$ 1,422	$ 2,961
Accounts payables			
Operating	$ 304,990	$ 286,682	$ 285,860

a. Notes payable

As of March 31, 2026, December 31, 2025 and March 31, 2025, the Group had no notes payable to banks.

b. Accounts payables

The average credit period for accounts payables ranges from 7 to 30 days. The Group has financial risk management policies in place to ensure that all payables are paid within the pre-agreed credit terms.

23. OTHER LIABILITIES

	March 31, 2026	December 31, 2025	March 31, 2025
Current			
Other payables			
Non-related parties			
Payables for salaries or bonuses	$ 140,590	$ 245,391	$ 149,785
Remuneration payable to employees and directors	27,250	22,000	21,500
Payables for business tax	21,744	33,826	16,778
Payables for service fees	6,616	6,715	6,324
Payables for insurance premiums	19,195	18,467	16,317
Payables for pension contributions	9,147	9,172	9,189
Payables for purchases of equipment	7,235	17,807	11,253
Payables for dividends	499,836	266,579	400,168
Others	97,710	91,951	90,792
	829,323	711,908	722,106
Related parties (Note 35)			
Others	80	80	120
	$ 829,403	$ 711,988	$ 722,226

	March 31, 2026	December 31, 2025	March 31, 2025
Other liabilities			
Financial liabilities	$ 33,344	$ 33,537	$ 34,525
Advance receipts	10,919	4,497	511
Temporary receipts	9,994	2,158	5,246
Collections on behalf of others	13,370	12,839	14,267
	$ 67,627	$ 53,031	$ 54,549
Non-current			
Other liabilities			
Guarantee deposits received	$ 73,051	$ 65,905	$ 58,273

24. PROVISIONS

	March 31, 2026	December 31, 2025	March 31, 2025
Non-current			
Asset retirement obligation	$ 5,535	$ 5,807	$ 6,621

	Asset Retirement Obligation
Balance as of January 1, 2025	$ 6,698
Additional provisions recognized	123
Disposals	(240)
Effect of foreign currency exchange differences	40
Balance as of March 31, 2025	$ 6,621
Balance as of January 1, 2026	$ 5,807
Additional provisions recognized	120
Disposals	(426)
Effect of foreign currency exchange differences	34
Balance as of March 31, 2026	$ 5,535

The Group recognizes an asset retirement obligation related to leased stores, where the lease agreement requires the restoration of the leased asset to its original condition at the start of the lease, with estimated costs to be incurred upon termination of the lease.

25. RETIREMENT BENEFIT PLANS

a. Defined contribution plan

The Group adopted a pension plan under the Labor Pension Act (LPA), which is a state-managed defined contribution plan. Under the LPA, the Group makes monthly contributions to employees' individual pension accounts at 6% of monthly salaries and wages.

The Group, including the Company, its subsidiary Bafang Yunji Restaurant Co., Ltd., and Dante Coffee & Foods Co., Ltd., recognized pension expenses under the defined contribution plan of $9,157 thousand and $9,288 thousand for the three months ended March 31, 2026 and 2025, respectively.

Employees of the Group's subsidiary in Hong Kong participate in a government-managed retirement benefit plan. The subsidiary is required to contribute a specified percentage of salary costs to the plan. The Group's obligation under this government-managed plan is limited to making the required contributions. Total pension expenses recognized amounted to $3,366 thousand and $4,786 thousand for the three months ended March 31, 2026 and 2025, respectively.

Bafang Yunji Restaurant Group LLC, Bafang Yunji Foods LLC, Bafang Yunji Foods Texas LLC and Bafang Yunji Restaurant Group Texas LLC have not established any retirement benefit plans. In addition, no retirement benefit plans are applicable to Ji Yuan Foods Co., Ltd., Fang Sin International Trading Co., Ltd., Bafang Yunji (Samoa) International Co., Ltd., Bafang Yunji International (USA) Limited, Bafang Yunji Franchise (USA) Co., Bafang Yunji Texas Corporation, and Bafang Co., Ltd., as there have been no full-time employees.

b. Defined benefit plan

Employee benefit expenses in respect of the Group's defined benefit retirement plans for the three months ended March 31, 2026 and 2025 were $11 thousand and $128 thousand, respectively, and calculated using the projected pension cost stated in actuarial reports as of December 31, 2025 and 2024.

26. EQUITY

a. Share capital

Ordinary shares

	March 31, 2026	December 31, 2025	March 31, 2025
Shares authorized (in thousands of shares)	100,000	100,000	100,000
Shares authorized	$ 1,000,000	$ 1,000,000	$ 1,000,000
Shares issued and fully paid (in thousands of shares)	66,645	66,645	66,645
Shares issued and fully paid	$ 666,448	$ 666,448	$ 666,448

Each issued ordinary share has a par value of $10 and entitles the holder to one vote and the right to receive dividends.

b. Capital surplus

	March 31, 2026	December 31, 2025	March 31, 2025
May be used to offset a deficit, distributed as cash dividends, or transferred to share capital (1)			
Issuance of ordinary shares	$ 977,557	$ 977,557	$ 977,557
The difference between the consideration paid and the carrying amount of the subsidiaries' net assets during actual acquisition	56	56	56
Employee share-based payment compensation costs	22,735	22,735	22,735
Forfeited employee share options	132	132	132
	1,000,480	1,000,480	1,000,480
May only be used to offset a deficit (2)			
Gains from the exercise of disgorgement rights by the Company	99	99	99
May not be used for any purpose			
Conversion options of convertible corporate bonds	76,175	76,175	-
	$ 1,076,754	$ 1,076,754	$ 1,000,579

1) Such capital surplus may be used to offset a deficit; in addition, when the Company has no deficit, such capital surplus may be distributed as cash dividends or transferred to share capital (limited to a certain percentage of the Company's capital surplus and to once a year).

2) Such capital surplus represents the amount transferred from the gains obtained by the Company from the exercise of subscription rights and may only be used to offset a deficit.

c. Retained earnings and dividends policy

Under the dividends policy as set forth in the Company's Articles of Incorporation (the "Articles"), the proposal for profit distribution or offsetting of losses should be made at the end of each six months of the fiscal year. Cash dividends shall be resolved by the board of directors, while stock dividends shall require approval by the shareholders' meeting.

Under the dividends policy as set forth in the Articles, where the Company made a profit each six months of the fiscal year, the profit shall be first utilized for paying taxes, offsetting losses of previous years, setting aside as legal reserve 10% of the remaining profit, and setting aside or reversing a special reserve. However, once the legal reserve has accumulated to the amount of the Company's paid-in capital, no further allocation is required. Any remaining profit together with any undistributed retained earnings each six months of the fiscal year shall be used by the Company's board of directors as the basis for proposing a distribution plan, which should be resolved in the shareholders' meeting for the distribution of dividends and bonuses to shareholders. Under the dividends policy as set forth in the Articles, the Company's board of directors is authorized, with the attendance of at least two-thirds of all directors and the approval of a majority of the directors present, to distribute dividends and bonuses, or all or part of the legal reserve and capital surplus as prescribed under Article 241, Paragraph 1 of the Company Act, in the form of cash. Such distribution shall be reported to the shareholders' meeting. However, if the

distribution is to be made in the form of new shares, it shall be subject to a resolution adopted at the shareholders' meeting.

The remuneration distribution policy for employees and directors as stipulated in the Company's Articles of Incorporation is disclosed in Note 28(g), compensation of employees and remuneration of directors.

As the Company is in a growth stage, its dividend policy takes into consideration the stage of business development, profitability, the Company's medium- and long-term financial and capital planning, as well as the interests of shareholders. Dividends may be distributed in the form of cash or stock, as deemed appropriate. Each year, no less than 20% of distributable earnings shall be allocated for shareholder dividends, of which the cash portion shall not be less than 20% of the total dividends distributed.

An appropriation of earnings to a legal reserve shall be made until the legal reserve equals the Company's paid-in capital. The legal reserve may be used to offset deficits. If the Company has no deficit and the legal reserve has exceeded 25% of the Company's paid-in capital, the excess may be transferred to capital or distributed in cash.

In accordance with applicable laws and regulations, when distributing earnings, the Company is required to appropriate a special reserve from retained earnings for the net deductions under other equity items. If the amount of such deductions decreases in subsequent periods, the corresponding portion of the special reserve may be reversed and transferred back to unappropriated earnings. When a special reserve is appropriated for cumulative net debit balance reserves from prior period, the special reserve is only appropriated from the prior unappropriated earnings.

The appropriation of the quarterly earnings in 2025 and 2024, which were resolved by the Company's board of directors, were as follows:

	January 1 to June 30, 2025	July 1 to December 31, 2024	January 1 to June 30, 2024
Date of board resolution	August 12, 2025	March 13, 2025	August 7, 2024
Legal reserve	$ 38,754	$ 30,695	$ 29,599
Appropriation (reversal) of special reserve	$ 62,002	$ -	$ (1,619)
Cash dividends	$ 266,579	$ 400,168	$ 132,990
Cash dividends per share (NT$)	$ 4.00	$ 6.00	$ 2.00

The appropriation of earnings for the second half of 2025, which were proposed by the Company's board of directors on March 10, 2026, were as follows:

	July 1 to December 31, 2025
Legal reserve	$ 46,856
Reversal of special reserve	$ (62,002)
Cash dividends	$ 499,836
Stock dividends	$ 33,322
Cash dividends per share (NT$)	$ 7.50
Stock dividends per share (NT$)	$ 0.50

The above appropriation for cash dividends has been resolved by the Company's board of directors; the other proposed appropriations will be resolved by the shareholders in their meeting to be held on June 11, 2026.

d. Special reserve

	For the three months ended March 31	
	2026	2025
Balance at the beginning of the period	$ -	$ 1,619
Provisions:		
Provision of the debits to other equity items	-	-
Balance at the end of the period	$ -	$ 1,619

e. Other equity items

Exchange differences on the translation of the financial statements of foreign operations

	For the three months ended March 31	
	2026	2025
Balance at the beginning of the period	$ 7,727	$ 47,148
Exchange differences on the translation of the financial statements of foreign operations	17,903	17,219
Income tax related to translation of the financial statements of foreign operations	(3,580)	(3,445)
Balance at the end of the period	$ 22,050	$ 60,922

The translation differences arising from the translation of the financial statements of foreign operations from their functional currencies to the Company's presentation currency (i.e., NTD) are recognized directly in the exchange differences on translation of financial statements of foreign operations under other comprehensive income.

f. Non-controlling interests

	For the three months ended March 31	
	2026	2025
Balance at the beginning of the period	$ 353,720	$ 242,444
Share in loss for the period	(13,981)	(5,639)
Other comprehensive income during the period		
Exchange differences on translating the financial statements of foreign entities	6,198	3,913
Non-controlling interests arising from cash capital increase by subsidiaries	-	65,550
Balance at the end of the period	$ 345,937	$ 306,268

27. REVENUE

	For the three months ended March 31	
	2026	2025
Revenue from contracts with customers		
Revenue from the sale of goods	$ 1,525,974	$ 1,392,104
Revenue from the sale of food and beverages	730,494	780,014
Licensing revenue	6,360	5,231
	$ 2,262,828	$ 2,177,349

a. Contract information

1) Revenue from the sale of goods

The revenue from sale of goods is derived from the manufacturing and sale of products related to restaurant chains and the sale of food ingredients used by franchisees to manufacture and sell related products. The Group recognizes revenue and accounts receivable at the point when the products are manufactured, sold and the food ingredients delivered to the franchisee's designated location, as the customer has the right to set the price and use the merchandise and has the primary responsibility for the merchandise at the time of resale, and bears the risk of obsolescence of the merchandise. Revenue from merchandise sales is based on contract agreements with fixed prices.

2) Revenue from the sale of food and beverages

Sales of food and beverages are recognized when individual customers purchase food and beverages at company-operated stores.

3) Licensing revenue

Licensing revenue represents franchise fees received by the Group from franchisees for the right to access the Group’s intellectual property during the license term.

b. Contract balances

	March 31, 2026	December 31, 2025	March 31, 2025	January 1, 2025
Notes receivable and accounts receivables (Note 11)	$ 193,680	$ 178,639	$ 187,300	$ 178,107

c. Disaggregation of revenue

	For the three months ended March 31, 2026			
	Taiwan	Hong Kong	United States	Total
Revenue from the sale of goods	$ 1,503,955	$ 22,019	$ -	$ 1,525,974
Revenue from the sale of food and beverages	236,802	279,569	214,123	730,494
Licensing revenue	6,360	-	-	6,360
	$ 1,747,117	$ 301,588	$ 214,123	$ 2,262,828

	For the three months ended March 31, 2025			
	Taiwan	Hong Kong	United States	Total
Revenue from the sale of goods	$ 1,368,065	$ 24,039	$ -	$ 1,392,104
Revenue from the sale of food and beverages	299,294	326,935	153,785	780,014
Licensing revenue	5,231	-	-	5,231
	$ 1,672,590	$ 350,974	$ 153,785	$ 2,177,349

28. NET PROFIT FROM CONTINUING OPERATIONS

a. Interest income

	For the three months ended March 31	
	2026	2025
Bank deposits	$ 3,324	$ 1,121
Lease interest receivable	275	255
	$ 3,599	$ 1,376

b. Other income

	For the three months ended March 31	
	2026	2025
Rental income (Note 16)	$ 927	$ 1,822
Government grants (Note 31)	3	-
Others	10,109	9,436
	$ 11,039	$ 11,258

c. Other gains and losses

	For the three months ended March 31	
	2026	2025
Gain (loss) on disposal of property, plant and equipment	$ 427	$ (7,050)
Gain on financial assets at fair value through profit or loss	301	88
Net foreign exchange gains	1,303	470
Gain (loss) on lease modification	(490)	294
Other losses	(17)	(354)
	$ 1,524	$ (6,552)

d. Financial costs

	For the three months ended March 31	
	2026	2025
Interest on bank loans	$ 3,112	$ 2,377
Interest on convertible corporate bonds	5,098	-
Interest on lease liabilities	12,668	9,769
	$ 20,878	$ 12,146

The Group did not capitalize any interest the three months ended March 31, 2026 and 2025.

e. Depreciation and amortization

	For the three months ended March 31	
	2026	2025
An analysis of depreciation by function		
Operating costs	$ 106,977	$ 110,146
Operating expenses	83,032	85,509
	$ 190,009	$ 195,655
An analysis of amortization by function		
Operating costs	$ 7	$ 7
Selling expenses	54	89
Administrative expenses	1,989	1,343
	$ 2,050	$ 1,439

f. Employee benefits expense

	For the three months ended March 31	
	2026	2025
Short-term benefits	$ 459,607	$ 446,222
Post-employment benefits		
Defined contribution plan	12,523	14,074
Defined benefit plans (Note 25)	11	128
Total employee benefits expense	$ 472,141	$ 460,424
An analysis of employee benefits expense by function		
Operating costs	$ 213,695	$ 209,818
Operating expenses	258,446	250,606
	$ 472,141	$ 460,424

g. Compensation of employees and remuneration of directors

According to the Company's Articles, the Company accrues compensation of employees and

remuneration of directors at rates of no less than 1% and no higher than 1%, respectively, of net profit before income tax, compensation of employees, and remuneration of directors. In accordance with the amendments to the Securities and Exchange Act in August 2024, the shareholders of the Company resolved the amendments to the Company's Articles at the 2025 regular meeting. The amendments explicitly stipulate the allocation of no less than 40% of the compensation of employees as compensation distributions for non-executive employees. The accrued compensation of employees and remuneration of directors for the three months ended March 31, 2026 and 2025 were as follows:

Accrual rate

	For the three months ended March 31	
	2026	2025
Compensation of employees	1.26%	1.24%
Remuneration of directors	0.51%	0.62%

Amount

	For the three months ended March 31	
	2026	2025
	Cash	Cash
Compensation of employees	$ 3,750	$ 3,000
Remuneration of directors	1,500	1,500

If there is a change in the amounts after the annual consolidated financial statements are authorized for issue, the differences are recorded as a change in the accounting estimate.

There is no difference between the actual amounts of compensation of employees and remuneration of directors and supervisors paid and the amounts recognized in the consolidated financial statements for the years ended December 31, 2025 and 2024.

Information on the compensation of employees and remuneration of directors and supervisors resolved by the Company's board of directors is available at the Market Observation Post System website of the Taiwan Stock Exchange.

29. INCOME TAX RELATING TO CONTINUING OPERATIONS

a. Income tax recognized in profit or loss

Major components of income tax expense are as follows:

	For the three months ended March 31	
	2026	2025
Current tax		
In respect of the current period	$ 63,702	$ 51,022
Adjustments for prior year	(4,526)	(5,076)
	59,176	45,946
Deferred tax		
In respect of the current period	(2,953)	(308)
Income tax expense recognized in profit or loss	$ 56,223	$ 45,638

b. Income tax recognized in other comprehensive income

	For the three months ended March 31	
	2026	2025
Deferred tax		
In respect of the current period		
Translation of foreign operations	$ 3,580	$ 3,445
Total income tax recognized in other comprehensive income	$ 3,580	$ 3,445

c. Income tax assessments

The income tax returns of the Company and its subsidiaries, Bafang Yunji Restaurant Co., Ltd., Fang Sin International Trading Co., Ltd., and Dante Coffee & Foods Co., Ltd., through 2024, have been assessed by the tax authorities.

30. EARNINGS PER SHARE

Unit: NT$ Per Share

	For the three months ended March 31	
	2026	2025
Basic earnings per share	$ 3.56	$ 2.93
Diluted earnings per share	$ 3.37	$ 2.92

The earnings and weighted average number of ordinary shares outstanding used in the computation of earnings per share were as follows:

Net profit for the period

	For the three months ended March 31	
	2026	2025
Profit for the period attributable to owners of the Company	$ 236,960	$ 194,957
Effect of potentially dilutive ordinary shares		
Interest on convertible bonds (after tax)	4,078	-
Earnings used in the computation of diluted earnings per share	$ 241,038	$ 194,957

Number of Shares

	Unit: In Thousands of Shares For the three months ended March 31	
	2026	2025
Weighted average number of ordinary shares used in the computation of basic earnings per share	66,645	66,645
Effect of potentially dilutive ordinary shares		
Compensation of employees	87	72
Convertible bonds	4,826	-
Weighted average number of ordinary shares used in the computation of diluted earnings per share	71,558	66,717

The Group may settle the compensation of employees in cash or shares; therefore, the Group assumes that the entire amount of the compensation will be settled in shares, and the resulting potential shares are included in the weighted average number of shares outstanding used in the computation of diluted earnings per share, as the effect is dilutive. Such dilutive effect of the potential shares is included in the computation of diluted earnings per share until the number of shares to be distributed to employees is resolved in the following year.

31. GOVERNMENT GRANTS

The Group received a government subsidy from Employment Stabilization Fund and recognized $3 thousand in non-operating income and expenses - other income in the consolidated statement of comprehensive income for the three months ended March 31, 2026.

32. NON-CASH TRANSACTIONS

a. Non-cash transactions

In addition to those disclosed in other notes, the Group entered into the following non-cash investing activities which were not reflected in the consolidated statements of cash flows for the three months ended March 31, 2026 and 2025:

1) Acquisition of property, plant and equipment

	For the three months ended March 31	
	2026	2025
Additions to property, plant and equipment	$ 121,342	$ 122,358
Add: Equipment payables at the beginning of the period	17,807	50,635
Decrease in asset retirement obligations	426	240
Less: Equipment payables at the end of the period	(7,235)	(11,253)
Increase in asset retirement obligations	(120)	(123)
Cash paid	$ 132,220	$ 161,857
Disposal of property, plant and equipment		
Proceeds from disposal	$ 8,583	$ 4,860
Add: Disposal receivables at the beginning of the period	72	767
Less: Disposal receivables at the end of the period	-	(858)
Cash received	$ 8,655	$ 4,769

2) Prepayments for equipment

The Group reclassified prepayments for equipment to property, plant and equipment of $3,604 thousand and $24,767 thousand for the three months ended March 31, 2026 and 2025, respectively.

3) Cash dividends

The cash dividends resolved by the Board of Directors were not yet distributed as of March 31, 2026 and 2025 (refer to Notes 23 and 26).

b. Changes in liabilities arising from financing activities

For the three months ended March 31, 2026

			Non-cash changes				
	Opening Balance	Cash Flows	New/ Amended Leases	Translation Adjustments	Interest Expense	Others	Closing Balance
Short-term borrowings	$ 110,005	$ -	$ -	$ 1,978	$ -	$ -	$ 111,983
Long-term borrowings	91,749	25,076	-	1,757	-	-	118,582
Bonds payable	941,301	-	-	-	5,098	-	946,399
Lease liabilities	1,643,015	(135,627)	115,485	15,447	12,668	-	1,650,988
Guarantee deposits received	65,905	7,146	-	-	-	-	73,051
	$ 2,851,975	$ (103,405)	$ 115,485	$ 19,182	$ 17,766	$ -	$ 2,901,003

For the three months ended March 31, 2025

	Opening Balance	Cash Flows	Non-cash changes: New/ Amended Leases	Non-cash changes: Translation Adjustments	Non-cash changes: Interest Expense	Non-cash changes: Others	Closing Balance
Short-term borrowings	$ 181,963	$ (38,950)	$ -	$ -	$ -	$ -	$ 143,013
Long-term borrowings	31,714	(1,191)	-	336	-	-	30,859
Lease liabilities	1,579,676	(142,543)	72,460	10,355	9,769	-	1,529,717
Guarantee deposits received	55,476	2,797	-	-	-	-	58,273
	$ 1,848,829	$ (179,887)	$ 72,460	$ 10,691	$ 9,769	$ -	$ 1,761,862

33. CAPITAL MANAGEMENT

The Group manages its capital to ensure that entities in the Group will be able to continue as going concerns while maximizing the return to stakeholders through the optimization of the debt and equity balance.

The capital structure of the Group consists of net debt (borrowings offset by cash and cash equivalents) and equity of the Group (comprising issued capital, reserves, retained earnings, other equity and non-controlling interests).

The Group is not subject to any externally imposed capital requirements.

The Group's capital structure is reviewed annually by the Group's key management, which includes consideration of the cost of each type of capital and the related risks. The Group will balance its overall capital structure by paying dividends, issuing new shares, buying back shares and issuing new debt or paying off old debt, as recommended by key management.

34. FINANCIAL INSTRUMENTS

a. Fair value of financial instruments not measured at fair value

Except for the table below, the Group considers that the carrying amount of financial assets and liabilities that are not at fair value is close to the fair value, or the fair value cannot be reliably measured.

March 31, 2026

	Carrying Amount	Fair Value: Level 1	Fair Value: Level 2	Fair Value: Level 3	Fair Value: Total
Financial liabilities					
Financial liabilities at amortized cost					
Bonds payable	$ 946,399	$ 1,078,800	$ -	$ -	$ 1,078,800

December 31, 2025

	Carrying Amount	Fair Value			
		Level 1	Level 2	Level 3	Total
Financial liabilities					
Financial liabilities at amortized cost					
Bonds payable	$ 941,301	$ 1,100,400	$ -	$ -	$ 1,100,400

b. Fair value of financial instruments measured at fair value on a recurring basis

1) Fair value hierarchy

March 31, 2026

	Level 1	Level 2	Level 3	Total
Financial assets at FVTPL				
Call options of convertible corporate bonds	$ -	$ -	$ 200	$ 200
Financial assets at FVTOCI				
Investments in equity instruments				
Unlisted shares	$ -	$ -	$ 3,750	$ 3,750

December 31, 2025

	Level 1	Level 2	Level 3	Total
Financial assets at FVTPL				
Structured deposits	$ -	$ 120,017	$ -	$ 120,017
Call options of convertible corporate bonds	-	-	400	400
	$ -	$ 120,017	$ 400	$ 120,417
Financial assets at FVTOCI				
Investments in equity instruments				
Unlisted shares	$ -	$ -	$ 3,750	$ 3,750

March 31, 2025

	Level 1	Level 2	Level 3	Total
Financial assets at FVTOCI				
Investments in equity instruments				
Unlisted shares	$ -	$ -	$ 3,750	$ 3,750

There were no transfers between Levels 1 and 2 for the three months ended March 31, 2026 and 2025.

2) Reconciliation of Level 3 fair value measurements of financial instruments

For the three months ended March 31, 2026

Financial Assets	Financial Assets at FVTPL Derivatives	Financial Assets at FVTOCI Equity Instruments	Total
Balance at the beginning of the period	$ 400	$ 3,750	$ 4,150
Recognized in profit or loss (included in other gains and losses)	(200)	-	(200)
Balance at the end of the period	$ 200	$ 3,750	$ 3,950
Unrealized gain/(loss) for the current period included in profit or loss relating to assets held at the end of the period	$ (200)	$ -	$ (200)

For the three months ended March 31, 2025

	Financial Assets at FVTOCI Equity Instruments
Balance at the beginning of the period	$ 3,750
Balance at the end of the period	$ 3,750
Unrealized gain and loss for the current period	$ -

3) Valuation techniques and inputs applied for Level 2 fair value measurement

Financial instrument	Valuation technique and inputs
Structured deposits mandatorily measured at fair value through profit or loss	The fair value is determined based on the present value of future cash flows, using a discount rate curve derived from quoted prices in the active market.

4) Valuation techniques and inputs applied for Level 3 fair value measurement

a. The fair value of unlisted equity instruments is estimated based on an analysis of the investee's financial position and operating results, recent transaction prices, quoted prices of similar instruments in active markets, and valuation multiples of comparable companies. These estimates are not based on observable market prices or interest rates. Significant unobservable inputs include the liquidity discount. A decrease in the liquidity discount would result in an increase in the fair value of the investment.

b. Convertible bonds with embedded derivatives - call options are valued using a binomial tree convertible bond valuation model, with significant unobservable inputs including stock price volatility, risk discount rate, and liquidity risk parameters.

c. Categories of financial instruments

	March 31, 2026	December 31, 2025	March 31, 2025
Financial assets			
Financial assets at amortized cost (Note 1)	$ 2,425,954	$ 2,422,023	$ 1,578,433
FVTPL Mandatorily classified as at FVTPL	200	120,417	-
Financial assets at FVTOCI	3,750	3,750	3,750
Financial liabilities			
Amortized cost (Note 2)	2,418,784	2,242,589	1,277,717

Note 1: The balances include financial assets at amortized cost, which comprise cash and cash equivalents, accounts receivables, financial assets at amortized cost - current, other receivables, other financial assets - current, and refundable deposits.

Note 2: The balances include financial liabilities at amortized cost, which comprise short-term loans, notes payable, accounts payable, other payables, other financial liabilities - current, bonds payable, long-term loans and guarantee deposits received.

d. Financial risk management objectives and policies

The Group's major financial instruments include equity investments, accounts receivables and accounts payables. The Group's corporate treasury function provides services to the business, coordinates access to domestic and international financial markets, and monitors and manages the financial risks relating to the operations of the Group through internal risk reports that analyze exposures by degree and magnitude of risks. These risks include market risk (including foreign currency risk, interest rate risk and other price risk), credit risk and liquidity risk.

The Group's finance department assesses various financial risks through the annual budgeting process and develops financial planning strategies in advance to effectively manage those risks. In addition, financial risks are regularly evaluated and reviewed to ensure timely adjustments to the corresponding risk management measures. When significant risks are identified, the issues and corresponding response plans are reported to management through executive meetings.

1) Market risk

The Group's activities exposed it primarily to the financial risks of changes in foreign currency exchange rates (see a. below) , interest rates (see b. below) and other price (see c. below).

a) Foreign currency risk

The carrying amounts of the Group's foreign currency denominated monetary assets and monetary liabilities at the end of the reporting period are set out in Note 39.

Sensitivity analysis

The following table details the Group's sensitivity to a 1% increase and decrease in the New Taiwan dollar (i.e., the functional currency) against the relevant foreign currencies. The sensitivity rate used when reporting foreign currency risk internally to key management personnel and representing management's assessment of the reasonably possible change in foreign exchange rates is 1%. The amounts disclosed below represent the estimated increase (decrease) in pre-tax profit resulting from a 1% weakening (strengthening) of the New Taiwan dollar against each relevant currency.

	USD Impact	
	For the three months ended March 31	
	2026	2025
Profit or loss	$ 653	$ 74

b) Interest rate risk

The Group is exposed to interest rate risk because entities in the Group borrow funds at both fixed and floating interest rates and hold bank deposits. However, because interest rate fluctuations are minimal, the impact of market interest rate changes on the Group's revenue, operating cash flow, and operations is limited.

The carrying amounts of the Group's financial assets and financial liabilities with exposure to interest rates at the end of the reporting period were as follows:

	March 31, 2026	December 31, 2025	March 31, 2025
Fair value interest rate risk			
Financial assets	$ 534,518	$ 1,105,682	$ 214,745
Financial liabilities	946,399	941,301	-
Cash flow interest rate risk			
Financial assets	1,518,442	1,071,875	978,372
Financial liabilities	230,565	201,754	173,872

Sensitivity analysis

The sensitivity analysis below was determined based on the Group's exposure to interest rates for both derivative and non-derivative instruments at the end of the reporting period. For floating rate assets and liabilities, the analysis was prepared assuming the amount of each liability outstanding at the end of the reporting period was outstanding for the whole period. The rate of change used in reporting interest rates internally to key management of the Group is an increase or decrease in interest rates by 1%, which represents management's assessment of the range of reasonably possible changes in interest rates.

If interest rates had increased or decreased by 1%, with all other variables were held constant, the Group's pre-tax profit for the three months ended March 31, 2026 and 2025 would have increased/decreased by $3,220 thousand and $2,011 thousand, respectively, which was mainly a result of variable-rate bank deposits.

c) Other price risk

The Group was exposed to equity price risk through its investments in equity instruments. The management of the Group manages risks by holding a diversified portfolio of investments with different risk profiles. In addition, the Group has appointed a special team to monitor the price risk and will consider hedging the risk exposure should the need arise.

Sensitivity analysis

The sensitivity analysis below was determined based on the exposure to equity price risks at the end of the reporting period.

If equity prices had been 3% higher/lower, pre-tax other comprehensive income for the three months ended March 31, 2026 and 2025 would have both increased/decreased by $113 thousand, mainly because the Group's holding of financial assets measured at fair value through other comprehensive income and loss did not change in the current period.

2) Credit risk

Credit risk refers to the risk that a counterparty will default on its contractual obligations resulting in a financial loss to the Group. At the end of the reporting period, the Group's maximum exposure to credit risk, which would cause a financial loss to the Group due to the failure of the counterparty to discharge its obligation and due to the financial guarantees provided by the Group, could be equal to the carrying amount of the respective recognized financial assets as stated in the balance sheets.

The Group's policy is to engage in transactions only with counterparties that have strong credit ratings. When necessary, the Group obtains sufficient collateral to mitigate the risk of financial loss resulting from default. The Group continuously monitors its credit exposure and the creditworthiness of counterparties. Credit risk is managed through the establishment of counterparty credit limits, which are reviewed and approved annually by personnel designated by management. At each the end of the reporting period, the recoverability of accounts receivables is assessed on an individual basis to ensure that adequate impairment losses are recognized for receivables that are deemed uncollectible. The Group transacts with a large number of unrelated customers and thus, credit risk is not highly concentrated.

3) Liquidity risk

The Group manages liquidity risk by monitoring and maintaining a level of cash and cash equivalents deemed adequate to finance the Group's operations and mitigate the effects of fluctuations in cash flows. In addition, management monitors the utilization of bank borrowings and ensures compliance with loan covenants.

Ultimate responsibility for liquidity risk management rests with the board of directors, which has built an appropriate liquidity risk management framework for the Group's short-, medium- and long-term funding and liquidity management requirements.

The Group relies on bank borrowings as a significant source of liquidity. As of March 31, 2026 and 2025, the Group had available unutilized short-term bank loan facilities set out in (b) Financing facilities below.

a) Liquidity and interest rate risk tables for non-derivative financial liabilities

The following table details the Group's remaining contractual maturities for its non-derivative financial liabilities with agreed upon repayment periods. The table has been drawn up based on the undiscounted cash flows of financial liabilities from the earliest date on which the

Group can be required to pay. The table includes both interest and principal cash flows. Specifically, bank loans with a repayment on demand clause were included in the earliest time band regardless of the probability of the banks choosing to exercise their rights. The maturity dates for other non-derivative financial liabilities were based on the agreed upon repayment dates.

The undiscounted interest amount of interest cash flows paid at floating interest rates is derived from the yield rate at the end of the reporting period.

March 31, 2026

	Less Than 1 Year	1-3 Years	3-5 Years	5+ Years
Floating interest rate instrument				
Short-term borrowings	$ 120,315	$ -	$ -	$ -
Long-term borrowings	29,947	85,774	9,871	1,232
Bonds payable	-	1,000,000	-	-
Lease liabilities	458,215	330,681	545,692	519,901
Non-interest bearing				
Notes payable	1,032	-	-	-
Accounts payables	304,990	-	-	-
Other payables	829,403	-	-	-
Guarantee deposits received	73,051	-	-	-
	$ 1,816,953	$ 1,416,455	$ 555,563	$ 521,133

Further information on the maturity analysis of lease liabilities was as follows:

	Less than 1 Year	1-5 Years	5-10 Years	10-15 Years	15-20 Years	20+ Years
Lease liabilities	$458,215	$876,373	$440,702	$62,801	$16,398	$ -

December 31, 2025

	Less Than 1 Year	1-3 Years	3-5 Years	5+ Years
Floating interest rate instrument				
Short-term borrowings	$ 118,191	$ -	$ -	$ -
Long-term borrowings	20,333	65,490	9,767	2,441
Bonds payable	-	1,000,000	-	-
Lease liabilities	477,328	374,457	507,572	474,371
Non-interest bearing				
Notes payable	1,422	-	-	-
Accounts payables	286,682	-	-	-
Other payables	711,988	-	-	-
Guarantee deposits received	65,905	-	-	-
	$ 1,681,849	$ 1,439,947	$ 517,399	$ 476,812

Further information on the maturity analysis of lease liabilities was as follows:

	Less than 1 Year	1-5 Years	5-10 Years	10-15 Years	15-20 Years	20+ Years
Lease liabilities	$ 477,328	$ 882,029	$ 340,325	$ 116,600	$ 17,446	$ -

March 31, 2025

	Less Than 1 Year	1-3 Years	3-5 Years	5+ Years
Floating interest rate instrument				
Short-term borrowings	$ 145,733	$ -	$ -	$ -
Long-term borrowings	5,666	11,012	10,397	6,493
Lease liabilities	486,413	353,521	444,223	323,743
Non-interest bearing				
Notes payable	2,961	-	-	-
Accounts payables	285,860	-	-	-
Other payables	722,226	-	-	-
Guarantee deposits received	58,273	-	-	-
	$ 1,707,132	$ 364,533	$ 454,620	$ 330,236

Further information on the maturity analysis of lease liabilities was as follows:

	Less than 1 Year	1-5 Years	5-10 Years	10-15 Years	15-20 Years	20+ Years
Lease liabilities	$ 486,413	$ 797,744	$ 291,920	$ 19,480	$ 12,343	$ -

The amounts included above for variable interest rate instruments for both non-derivative financial assets and liabilities are subject to change if changes in variable interest rates differ from those estimates of interest rates determined at the end of the reporting period.

b) Financing facilities

	March 31, 2026	December 31, 2025	March 31, 2025
Bank loan facilities which may be extended by mutual agreement			
Amount drawn	$ 111,983	$ 110,005	$ 143,013
Amount undrawn	1,395,972	1,392,865	1,043,205
	$ 1,507,955	$ 1,502,870	$ 1,186,218
Bank long-term loan facilities			
Amount drawn	$ 118,583	$ 91,749	$ 30,859
Amount undrawn	31,995	59,717	80,000
	$ 150,578	$ 151,466	$ 110,859

35. TRANSACTIONS WITH RELATED PARTIES

Balances and transactions between the Company and its subsidiaries, which are related parties of the Company, have been eliminated on consolidation and are not disclosed in this note.

a. Related party name and category

Related Party Name	Related Party Category
Lin, Chia-Yu	Key management personnel (including the Company's directors)
Worldway International Group Limited	Substantive related party
Meide Eatery	Substantive related party
Wuhua Eatery	Substantive related party
Taiyuan Eatery	Substantive related party
Yutingyuan Enterprise	Substantive related party
Taimanhan Diner	Substantive related party
Taimanji Diner	Substantive related party
Yangyang Eatery	Substantive related party
Su, Hsiao-Chi	Substantive related party
New Taipei City Private Bafang Yunji Social Welfare Charitable Foundation (hereinafter referred to as Bafang Yunji Foundation)	Substantive related party
Vivian Peng	Substantive related party

b. Operating revenue

		For the three months ended March 31	
Line Item	Related Party Category/Name	2026	2025
Sales of goods	Substantive related party Others	$ 13,158	$ 11,915
Licensing revenue	Substantive related party Others	114	113
		$ 13,272	$ 12,028

The sales prices and payment terms for transactions with related parties were comparable to those with third-party customers.

c. Manufacturing expenses and operating expenses

		For the three months ended March 31	
Line Item	Related Party Category/Name	2026	2025
Operating expenses Service fees	Substantive related party Others	$ 240	$ 360

d. Receivables from related parties

Line Item	Related Party Category/Name	March 31, 2026	December 31, 2025	March 31, 2025
Accounts receivables	Substantive related party Others	$ 1,414	$ 1,250	$ 1,343
Other receivables	Substantive related party Others	$ -	$ 1	$ 3

The outstanding accounts receivables from related parties are unsecured. No impairment losses were recognized for accounts receivables from related parties as of March 31, 2026, December 31, 2025 and March 31, 2025.

e. Payable to related parties

Line Item	Related Party Category/Name	March 31, 2026	December 31, 2025	March 31, 2025
Other payables	Substantive related party Others	$ 80	$ 80	$ 120

The outstanding accounts payables to related parties are unsecured.

f. Lease arrangements - the Group is lessee

	For the three months ended March 31	
Related Party Category/Name	2026	2025
Acquisition of right-of-use assets		
Substantive related party Others	$ 6,166	$ -

Line Item	Related Party Category/Name	March 31, 2026	December 31, 2025	March 31, 2025
Lease liabilities	Substantive related party Others	$ 5,456	$ -	$ 2,476

	For the three months ended March 31	
Related Party Category/Name	2026	2025
Interest expense		
Substantive related party Others	$ 35	$ 17

Related Party Category/Name	For the three months ended March 31 2026	2025
Rent expense		
Substantive related party		
Others	$ 928	$ 730

For the three months ended March 31, 2026

Related Party Category/Name	Leased Asset	Lease Term	Rental Terms	Monthly Rent
Substantive related party	2304, Tsuen Wan Industrial Centre, Hong Kong	January 1, 2026 - December 31, 2027	Negotiated	$ 132
Substantive related party	2302, Tsuen Wan Industrial Centre, Hong Kong	January 1, 2026 - December 31, 2027	Negotiated	132
Substantive related party	A property located in Tustin, California, USA	January 1, 2026 - December 31, 2026	Negotiated	131
Key management personnel	A property located in Tustin, California, USA	January 1, 2026 - December 31, 2026	Negotiated	133
Key management personnel	A property located in Farmers Branch, Texas, USA	January 1, 2026 - December 31, 2026	Negotiated	45

For the three months ended March 31, 2025

Related Party Category/Name	Leased Asset	Lease Term	Rental Terms	Monthly Rent
Substantive related party	2304, Tsuen Wan Industrial Centre, Hong Kong	January 1, 2024 - December 31, 2025	Negotiated	$ 139
Substantive related party	2302, Tsuen Wan Industrial Centre, Hong Kong	January 1, 2024 - December 31, 2025	Negotiated	139
Substantive related party	A property located in Tustin, California, USA	January 1, 2025 - December 31, 2025	Negotiated	137
Key management personnel	A property located in Tustin, California, USA	January 1, 2025 - December 31, 2025	Negotiated	139

g. Lease arrangements - the Group is lessor

Operating lease

The Group leased its assets under an operating lease to the Bafang Yunji Foundation. As of March 31, 2026, December 31, 2025 and March 31, 2025, the total amount of future lease payments to be received was $95 thousand, $110 thousand and $153 thousand, respectively. The lease income recognized for the three months ended March 31, 2026 and 2025 were both $14 thousand.

Capital sublease

The Group subleased right-of-use assets to Yutingyuan Enterprise under finance leases. As of March 31, 2026, December 31, 2025 and March 31, 2025, the balance of finance lease receivables was $1,803 thousand, $2,184 thousand and $3,694 thousand, respectively, and no impairment loss was recognized as of March 31, 2026, December 31, 2025 and March 31, 2025.

h. Guarantee deposits received

Related Party Category/Name	March 31, 2026	December 31, 2025	March 31, 2025
Substantive related party			
Others	$ 660	$ 660	$ 660

i. Other income

	For the three months ended March 31	
Related Party Category/Name	2026	2025
Substantive related party		
Others	$ 16	$ 8

j. Remuneration of key management personnel

The total remuneration paid to directors and other key management personnel for the three months ended March 31, 2026 and 2025 were as follows:

	For the three months ended March 31	
	2026	2025
Short-term employee benefits	$ 21,474	$ 20,371
Post-employment benefits	441	1,855
	$ 21,915	$ 22,226

The remuneration of directors and key executives, as determined by the remuneration committee, is based on the performance of individuals and market trends.

36. ASSETS PLEDGED AS COLLATERAL OR FOR SECURITY

The following assets were provided as collateral for obtaining credit lines from financial institutions, electronic transfer service of money and the issuance of stored-value cards. The carrying amounts of the respective accounts were as follows:

	March 31, 2026	December 31, 2025	March 31, 2025
Financial assets at amortized cost - current			
Bank time deposit	$ 10,000	$ 11,865	$ 10,000
Other financial assets - current	37,058	34,573	1,858
Property, plant and equipment			
Building and construction	103,208	103,392	113,312
	$ 150,266	$ 149,830	$ 125,170

37. SIGNIFICANT CONTINGENT LIABILITIES AND UNRECOGNIZED COMMITMENTS

In addition to those described in other notes, the Group had the following significant commitments and contingencies as of the end of the reporting period.

As of March 31, 2026 and 2025, the total contract amounts for the construction and acquisition of related plant and equipment were $489,743 thousand and $821,421 thousand, respectively. The amounts paid were $365,536 thousand and $458,596 thousand, respectively.

38. SIGNIFICANT SUBSEQUENT EVENTS

On May 12, 2026, the Board of Directors of the Group resolved to increase the capital of its subsidiary, Bafang Yunji International (USA) Limited, planning to expand its business in the U.S.A. The total capital increase amounted to US$2,500 thousand.

39. SIGNIFICANT ASSETS AND LIABILITIES DENOMINATED IN FOREIGN CURRENCIES

The Group's significant financial assets and liabilities denominated in foreign currencies aggregated by the foreign currencies other than functional currencies of the entities in the Group and the related exchange rates between the foreign currencies and the respective functional currencies were as follows:

Unit: In Thousands of Each Foreign Currency

March 31, 2026

	Foreign Currency	Exchange Rate	Carrying Amount
Financial assets			
Monetary items			
USD	$ 2,042	31.995 (USD:NTD)	$ 65,297
HKD	1,837	4.081 (HKD:NTD)	7,430

December 31, 2025

	Foreign Currency	Exchange Rate	Carrying Amount
Financial assets			
Monetary items			
USD	$ 1,634	31.43 (USD:NTD)	$ 51,370
HKD	1,701	4.04 (HKD:NTD)	6,870

March 31, 2025

	Foreign Currency	Exchange Rate	Carrying Amount
Financial assets			
Monetary items			
USD	$ 225	33.205 (USD:NTD)	$ 7,436
CNY (RMB)	45	4.573 (CNY:NTD)	206
HKD	1,309	4.268 (HKD:NTD)	5,498

For the three months ended March 31, 2026 and 2025, the Group recognized realized and unrealized foreign exchange gains of $1,303 thousand and gains of $470 thousand, respectively.

40. SEPARATELY DISCLOSED ITEMS

a. Information on significant transactions:

1) Financing provided to others (None)

2) Endorsements/guarantees provided (Table 1)

3) Marketable securities held (excluding investments in subsidiaries, associates and joint ventures) (Table 2)

4) Total purchases from or sales to related parties amounting to at least NT$100 million or 20% of the paid-in capital (Table 3)

5) Receivables from related parties amounting to at least NT$100 million or 20% of the paid-in capital (None)

6) Other: Business relationships and material transactions between the parent company and its subsidiaries and among its subsidiaries (Table 4)

b. Information on investees (Table 5)

c. Information on investments in mainland China

1) Information on any investee company in mainland China, showing the name, principal business activities, paid-in capital, method of investment, inward and outward remittance of funds, ownership percentage, net income of investees, investment income or loss, carrying amount of the investment at the end of the period, repatriations of investment income, and limit on the amount of investment in the mainland China area (Table 6)

2) Any of the following significant transactions with investee companies in mainland China, either directly or indirectly through a third party, and their prices, payment terms, and unrealized gains or losses (Table 6)

a) The amount and percentage of purchases and the balance and percentage of the related payables at the end of the period

b) The amount and percentage of sales and the balance and percentage of the related receivables at the end of the period

c) The amount of property transactions and the amount of the resultant gains or losses

d) The balance of negotiable instrument endorsements or guarantees or pledges of collateral at the end of the period and the purposes

e) The highest balance, the ending balance, the interest rate range, and total current period interest with respect to the financing of funds

f) Other transactions that have a material effect on the profit or loss for the period or on the financial position, such as the rendering or receipt of services

41. SEGMENT INFORMATION

Information reported to the chief operating decision maker for the purpose of resource allocation and assessment of segment performance focuses on the types of goods or services delivered or provided.

Reportable Segments	Brands Operated
Taiwan	- Bafang Yunji - Liang She-Han Pork Ribs - FJ Veggie - Dante Coffee
Hong Kong	- Bafang Yunji - Liang She-Han Pork Ribs - Bai Fung Bento - Bafang Noodles & More
United States	- Bafang Yunji

a. Segment revenue and results

The following was an analysis of the Group's revenue and results from continuing operations by reportable segments:

	For the three months ended March 31, 2026			
	Taiwan	Hong Kong	United States	Total
Revenue from external customers	$ 1,747,117	$ 301,588	$ 214,123	$ 2,262,828
Inter-segment revenue	19,498	-	-	19,498
Segment revenue	$ 1,766,615	$ 301,588	$ 214,123	2,282,326
Eliminations				(19,498)
Consolidated revenue				$ 2,262,828
Segment income	$ 301,381	$ 8,204	$ (25,667)	$ 283,918
Interest income				3,599
Rental income				927
Gains on disposal of property, plant and equipment				427
Net foreign exchange gains				1,303
Financial costs				(20,878)
Other gains and losses				9,906
Profit before tax (continuing operations)				$ 279,202

	For the three months ended March 31, 2025			
	Taiwan	Hong Kong	United States	Total
Revenue from external customers	$ 1,672,590	$ 350,974	$ 153,785	$ 2,177,349
Inter-segment revenue	20,037	-	-	20,037
Segment revenue	$ 1,692,627	$ 350,974	$ 153,785	2,197,386
Eliminations				(20,037)
Consolidated revenue				$ 2,177,349
Segment income	$ 239,197	$ 10,858	$ (9,035)	$ 241,020
Interest income				1,376
Rental income				1,822
Losses on disposal of property, plant and equipment				(7,050)
Net foreign exchange gains				470
Financial costs				(12,146)
Other gains and losses				9,464
Profit before tax (continuing operations)				$ 234,956

The revenues reported above were generated from transactions with external customers. Intersegment sales for the three months ended March 31, 2026 and 2025 have been fully eliminated.

Segment profit represents the profit before tax earned by each segment without allocation of central administration costs and directors' salaries, share of profit of associates, gains recognized on disposal of interests in former associates, lease income, interest income, gains or losses on disposal of property, plant and equipment, gains or losses on disposal of financial instruments, exchange gains or losses, valuation gains or losses on financial instruments, finance costs and income tax expense. This was the measure reported to the chief operating decision maker for the purpose of resource allocation and assessment of segment performance.

b. Total segment assets

	March 31, 2026	December 31, 2025	March 31, 2025
Taiwan	$ 5,121,822	$ 5,339,665	$ 4,068,805
Hong Kong	1,088,507	1,109,868	1,164,209
United States	2,012,743	1,768,879	1,454,756
Total segment assets	8,223,072	8,218,412	6,687,770
Unallocated assets	7,665	7,978	5,515
Consolidated total assets	$ 8,230,737	$ 8,226,390	$ 6,693,285

For the purpose of monitoring segment performance and allocating resources between segments:

All assets were allocated to reportable segments other than interests in associates accounted for using the equity method and current and deferred tax assets. Assets used jointly by reportable segments were allocated on the basis of the revenue earned by individual reportable segments.

c. Revenue from major products and services

The Group is primarily engaged in the manufacturing and sale of products related to restaurant chains and the sale of food ingredients used in the manufacturing and sale of related products by franchisees as a single product category; therefore, information by product category is not required.

d. Geographical information

The Group operates in three principal geographical areas - Taiwan, Hong Kong and the United States.

The Group's revenue from continuing operations from external customers by location of operations and information on its non-current assets by location of assets are detailed below.

	Revenue from external customers		Non-current assets (Note)		
	For the three months ended March 31				
	2026	2025	March 31, 2026	December 31, 2025	March 31, 2025
Taiwan	$ 1,747,117	$ 1,672,590	$ 2,930,179	$ 3,009,719	$ 2,929,905
Hong Kong	301,588	350,974	762,333	802,741	821,896
United States	214,123	153,785	1,612,664	1,406,754	1,016,243
	$ 2,262,828	$ 2,177,349	$ 5,305,176	$ 5,219,214	$ 4,768,044

Note: Non-current assets exclude deferred tax assets.

e. Information on major customers

For the three months ended March 31, 2026 and 2025, no revenue from a single customer accounted for 10% or more of the Group's total revenue.

BAFANG YUNJI INTERNATIONAL CO., LTD. AND SUBSIDIARIES

ENDORSEMENTS/GUARANTEES PROVIDED
FOR THE THREE MONTHS ENDED MARCH 31, 2026
(In Thousands of New Taiwan Dollars and Unless Stated Otherwise)

No. (Note 1)	Endorser/Guarantor	Endorsee/Guarantee		Limit on Endorsement/ Guarantee Given on Behalf of Each Party (Note 3)	Maximum Amount Endorsed/ Guaranteed During the Period	Outstanding Endorsement/ Guarantee at the End of the Period	Actual Amount Borrowed	Amount Endorsed/ Guaranteed By Collateral	Ratio of Accumulated Endorsement/ Guarantee to Net Equity in Latest Financial Statements (%)	Aggregate Endorsement/ Guarantee Limit (Note 3)	Endorsement/ Guarantee Given by Parent on Behalf of Subsidiaries	Endorsement/ Guarantee Given by Subsidiaries on Behalf of Parent	Endorsement/ Guarantee Given on Behalf of Companies in Mainland China	Note
		Name	Relationship (Note 2)											
0	Bafang Yunji International Co., Ltd.	Bafang Yunji Foods LLC	b.	$ 710,189	$ 63,990	$ 63,990	$ 47,993	$ -	1.80	$ 1,420,377	Y	N	N	
0	Bafang Yunji International Co., Ltd.	Bafang Yunji Restaurant Group LLC	b.	710,189	319,950	319,950	188,419	-	9.01	1,420,377	Y	N	N	
0	Bafang Yunji International Co., Ltd.	Bafang Yunji Restaurant Group Texas LLC	b.	710,189	63,990	63,990	-	-	1.80	1,420,377	Y	N	N	
0	Bafang Yunji International Co., Ltd.	Bafang Yunji Franchise (USA) Co.	b.	710,189	31,995	31,995	-	-	0.90	1,420,377	Y	N	N	
1	Bafang Yunji International (USA) Limited	Bafang Yunji Restaurant Group Texas LLC	b.	539,255	122,776	122,776	122,776	-	18.21	674,069	N	N	N	

Note 1: The number column is filled out as follows:

a. Fill in 0 for the issuer.
b. Each invested company is numbered in sequential order starting from 1.

Note 2: Relationship with the Company:

a. The companies with which it has business relations.
b. Subsidiaries in which the company directly holds more than 50% of its total outstanding common stocks.
c. Companies in which the total outstanding common stocks held by the parent company and its subsidiaries, calculated on a combined basis, exceed 50%.
d. The parent company that directly or indirectly holds more than 50% of the total outstanding common stocks through its subsidiaries.
e. Companies in same type of business and providing mutual endorsements/guarantees in favor of each other in accordance with the contractual obligations in order to fulfill the needs of the construction project.
f. Shareholders making endorsements and/or guarantees for their mutually invested company in proportion to their shareholding percentage.
g. Companies in the same industry providing among themselves joint and several security for a performance guarantee of a sales contract for pre-construction homes pursuant to the Consumer Protection Act.

Note 3: Limit on endorsements/guarantees provided for a single party: Not exceeding 20% of the Company's net assets as of March 31, 2026: $3,550,943 thousand x 20% = $710,189 thousand.
Ceiling on total amount of endorsements/guarantees provided: Not exceeding 40% of the Company's net assets as of March 31, 2026: $3,550,943 thousand x 40% = $1,420,377 thousand.

Note 4: The maximum endorsement/guarantee amount for Bafang Yunji International (USA) Limited is limited to 100% of the company's net worth. In addition, the maximum amount for any single entity is limited to 80% of the company's net worth.

BAFANG YUNJI INTERNATIONAL CO., LTD. AND SUBSIDIARIES

MARKETABLE SECURITIES HELD
March 31, 2026
(In Thousands of New Taiwan Dollars and Unless Stated Otherwise)

Holding Company Name	Type and Name of Marketable Securities	Relationship with the Holding Company	Financial Statement Account	March 31, 2026				Note
				Number of Shares	Carrying Amount	Percentage of Ownership (%)	Fair Value	
Bafang Yunji International Co., Ltd.	Corporate bonds First Commercial Bank	-	Financial assets at amortized cost - current	-	$ 19,721	-	$ 19,721	Domestic corporate bonds
Fang Sin International Trading Co., Ltd.	Domestic unlisted equity investments WiXtar Corporation	-	Financial assets at fair value through other comprehensive income - non-current	150,000	$ 3,750	0.98	$ 3,750	

Note 1: The term “securities” as used in this table refers to stocks, bonds, mutual fund beneficiary certificates, and derivative securities arising from the aforementioned items, as defined under IFRS 9 “Financial Instruments”.

Note 2: For information on investment in subsidiaries, affiliates and joint venture interests, refer to Tables 5 and 6.

TABLE 3

BAFANG YUNJI INTERNATIONAL CO., LTD. AND SUBSIDIARIES

TOTAL PURCHASES FROM OR SALES TO RELATED PARTIES AMOUNTING TO AT LEAST NT$100 MILLION OR 20% OF THE PAID-IN CAPITAL
FOR THE THREE MONTHS ENDED MARCH 31, 2026
(In Thousands of New Taiwan Dollars and Unless Stated Otherwise)

Buyer	Related Party	Relationship	Transaction				Abnormal Transactions		Notes/Accounts Receivable (Payable)		Note
			Purchase/Sale	Amount	% of Total	Payment Terms	Unit Price	Payment Terms	Ending Balance	% of Total	
Bafang Yunji International Co., Ltd.	Bafang Yunji Restaurant Co., Ltd.	Subsidiary	Sales	$ 111,151	6.87	Semi-monthly settlement	Same as the transaction price with regular customers	Same as the credit terms offered to regular customers	$ 19,634	12.83	Note

Note: The above transactions have been eliminated in the consolidated financial statements.

BAFANG YUNJI INTERNATIONAL CO., LTD. AND SUBSIDIARIES

INTERCOMPANY RELATIONSHIPS AND SIGNIFICANT INTERCOMPANY TRANSACTIONS
FOR THE THREE MONTHS ENDED MARCH 31, 2026
(In Thousands of New Taiwan Dollars and Unless Stated Otherwise)

No. (Note 1)	Investee Company	Counterparty	Relationship (Note 2)	Transaction Details			
				Financial Statement Accounts	Amount	Payment Terms	% of Total Sales or Assets (Note 3)
0	Bafang Yunji International Co., Ltd.	Bafang Yunji Restaurant Co., Ltd.	a.	Sales of goods	$ 111,151	At regular transaction prices	5
	〃	〃	a.	Accounts receivables	19,634	At regular transaction prices	-
	〃	〃	a.	Advertising expenses	7,174	Note 5	-
	〃	〃	a.	Miscellaneous expenses	7,781	Note 5	-
	〃	〃	a.	Training expenses	1,966	Note 5	-
1	Fang Sin International Trading Co., Ltd.	Bafang Yunji International Company Limited	c.	Sales of goods	14,803	At regular transaction prices	-
	〃	Bafang Yunji Foods LLC	c.	Sales of goods	4,695	At regular transaction prices	-
2	Bafang Yunji Foods LLC	Bafang Yunji Restaurant Group LLC	c.	Sales of goods	63,348	At regular transaction prices	3
	〃	Bafang Yunji Restaurant Group LLC	c.	Accounts receivables	16,826	At regular transaction prices	-

Note 1: The numbers filled in for the transaction company in respect of inter-company transactions are as follows:

a. Parent company is “0”.
b. The subsidiaries are numbered in order starting from “1”.

Note 2: Relationship between transaction company and counterparty is classified into the following Three categories; fill in the number of category each case belongs to (if transactions between parent company and subsidiaries or between subsidiaries refer to the same transaction, it is not required to disclose twice. For example, if the parent company has already disclosed its transaction with a subsidiary, then the subsidiary is not required to disclose the transaction; for transactions between two subsidiaries, if one of the subsidiaries has disclosed the transaction, then the other is not required to disclose the transaction):

a. Parent company to subsidiary.
b. Subsidiary to parent company.
c. Subsidiary to subsidiary.

Note 3: Regarding percentage of transaction amount to consolidated total operating revenues or total assets, it is computed based on period-end balance of transaction to consolidated total assets for balance sheet accounts and based on accumulated transaction amount during the year to consolidated total operating revenues for income statement accounts.

Note 4: The Company may determine discretionally whether to have the material transactions in the Exhibit illustrated according to its materiality.

Note 5: The intercompany transactions, prices and terms are determined in accordance with mutual agreements and no other similar transactions could be used for comparison.

TABLE 5

BAFANG YUNJI INTERNATIONAL CO., LTD. AND SUBSIDIARIES

INFORMATION ON INVESTEES
FOR THE THREE MONTHS ENDED MARCH 31, 2026
(In Thousands of New Taiwan Dollars and Unless Stated Otherwise)

Investor Company	Investee Company	Location	Main Businesses and Products	Original Investment Amount		As of March 31, 2026			Net Income (Loss) of the Investee	Share of Profit (Loss)	Note
				March 31, 2026	December 31, 2025	Number of Shares	%	Carrying Amount			
Bafang Yunji International Co., Ltd.	Bafang Yunji (Samoa) International Co., Ltd.	Samoa	Investment management	$ 50,055 US$ 1,833,048	$ 50,055 US$ 1,833,048	1,833,048	100	$ 27,243 US$ 851,482	$ 224 US$ 7,071	$ 224 US$ 7,071	
	Bafang Yunji Restaurant Co., Ltd.	Taiwan	Food and beverage services	150,727	150,727	15,000,000	100	169,978	808	808	Note 1
	Fang Sin International Trading Co., Ltd.	Taiwan	Food trading	40,000	40,000	4,000,000	100	43,836	732	732	Note 1
	Bafang Co., Ltd.	Japan	Food processing and food and beverage services	81,621 JPY 300,000,000	81,621 JPY 300,000,000	30,000	100	45,730 JPY 228,077,852	(138) (JPY 686,850)	(138) (JPY 686,850)	Note 1
	Bafang Yunji International (USA) Limited	United States	Investment management	804,034 US$ 25,580,000	676,511 US$ 21,580,000	5,116	100	674,069 US$ 21,067,949	(21,547) (US$ 681,201)	(21,547) (US$ 681,201)	Note 1
	Bafang Yunji International Company Limited	Hong Kong	Food processing and food and beverage services	476,538 HK$ 119,617,830	476,538 HK$ 119,617,830	17,500,000	100	689,689 HK$ 169,000,029	5,226 HK$ 1,291,043	5,226 HK$ 1,291,043	Note 1
	Dante Coffee & Foods Co., Ltd.	Taiwan	Food and beverage services	20,000	20,000	2,000,000	100	893	(1,266)	(1,266)	Note 1
	Ji Yuan Foods Co., Ltd.	Taiwan	Livestock products manufacturing and sales	250,000	250,000	25,000,000	100	230,478	134	134	Note 1
Bafang Yunji International Company Limited	Hsin Chiao International Co. Limited	Hong Kong	Transportation	- HK$ 1	- HK$ 1	1	100	55,971 HK$ 13,714,906	2,346 HK$ 579,471	2,346 HK$ 579,471	Note 1
	Long Success (HK) Industrial Limited	Hong Kong	Food and beverage services	- HK$ 1	- HK$ 1	1	100	81,554 HK$ 19,983,761	(3,342) (HK$ 825,716)	(3,342) (HK$ 825,716)	Note 1
	Rich Grade Limited	Hong Kong	Food and beverage services	- HK$ 1	- HK$ 1	1	100	9,412 HK$ 2,306,221	(218) (HK$ 53,776)	(218) (HK$ 53,776)	Note 1
	Wise Success Enterprise Limited	Hong Kong	Transportation	- HK$ 1	- HK$ 1	1	100	1,067 HK$ 261,543	5 (HK$ 1,240)	5 (HK$ 1,240)	Note 1
	Jiashide Limited	Hong Kong	Investment management	6,891 RMB 1,500,000	6,891 RMB 1,500,000	10,000	100	-	-	-	Note 1
Jiashide Limited	Heng Yue Feng Trading (Shenzhen) Co., Ltd.	Mainland China	Food trading	6,891 RMB 1,500,000	6,891 RMB 1,500,000	-	100	-	-	-	Notes 1 and 2
Bafang Yunji International (USA) Limited	Bafang Yunji Foods LLC	United States	Food processing	116,598 US$ 3,780,000	116,598 US$ 3,780,000	-	60	37,808 US$ 1,181,683	(7,978) (US$ 252,233)	(4,787) (US$ 151,340)	Note 1
	Bafang Yunji Restaurant Group LLC	United States	Food and beverage services	84,205 US$ 2,700,000	84,205 US$ 2,700,000	-	60	75,494 US$ 2,359,568	(3,484) (US$ 110,133)	(2,090) (US$ 66,080)	Note 1
	Bafang Yunji Franchise (USA) Co.	United States	Franchising	16,140 US$ 500,000	16,140 US$ 500,000	500,000	100	15,175 US$ 474,282	(5) (US$ 163)	(5) (US$ 163)	Note 1
	Bafang Yunji Texas Corporation	United States	Investment management	439,353 US$ 13,800,000	439,353 US$ 13,800,000	13,800,000	60	405,603 US$ 12,677,062	(23,491) (US$ 742,661)	(14,095) (US$ 445,596)	Note 1
Bafang Yunji Texas Corporation	Bafang Yunji Foods Texas LLC	United States	Food processing	568,830 US$ 18,000,000	568,830 US$ 18,000,000	-	100	525,756 US$ 16,432,436	(18,475) (US$ 584,073)	(18,475) (US$ 584,073)	Note 1
	Bafang Yunji Restaurant Group Texas LLC	United States	Food and beverage services	148,163 US$ 4,500,000	148,163 US$ 4,500,000	-	100	135,649 US$ 4,239,701	(4,900) (US$ 154,924)	(4,900) (US$ 154,924)	Note 1

Note 1: The above investment income or loss of the investee for the three months ended March 31, 2026 was recognized based on the investee's financial statements for the same period reviewed by CPAs.

Note 2: Refer to Table 6 for the information on investees in Mainland China.

BAFANG YUNJI INTERNATIONAL CO., LTD. AND SUBSIDIARIES

INFORMATION ON INVESTMENT IN MAINLAND CHINA
FOR THE THREE MONTHS ENDED MARCH 31, 2026
(In Thousands of New Taiwan Dollars and Unless Stated Otherwise)

1. The name of the investees in Mainland China, main business, paid-in capital, investment methods, capital outward and inward remittances, shareholding, investment income and losses, investment book value, repatriated investment income and loss.

Investee Company	Main Businesses and Products	Paid-in Capital	Method of Investment (Note 1)	Accumulated Outward Remittance for Investment from Taiwan as of January 1, 2026	Remittance of Funds		Accumulated Outward Remittance for Investment from Taiwan as of March 31, 2026	Net Income (Loss) of the Investee	% Ownership of Direct or Indirect Investment	Investment Gain (Loss) (Note 2b.2))	Carrying Amount as of March 31, 2026	Accumulated Repatriation of Investment Income as of March 31, 2026	Note
					Outward	Inward							
Heng Yue Feng Trading (Shenzhen) Co., Ltd.	Food trading	$ 6,891	b.	$ 6,891 (RMB 1,500,000)	$ -	$ -	$ 6,891 (RMB 1,500,000)	$ - (RMB -)	100	$ - (RMB -)	$ - (RMB -)	$ -	

2. Investment quota for Mainland China

Accumulated Outward Remittance for Investment in Mainland China as of March 31, 2026	Investment Amounts Authorized by the Investment Commission, MOEA	Upper Limit on the Amount of Investment Stipulated by the Investment Commission, MOEA (Note 3)
$502,428 (US$16,341,534)	$502,428 (US$16,341,534)	$2,338,128

Note 1: The investment methods can be divided into the following three types, and just indicate as such.

a. Invest in mainland China directly.
b. Invest in Mainland China through companies in third regions. (Please specify the investment company of the third region).
c. Other methods.

Note 2: In the column of investment income or loss recognized in the current period.

a. If the investment is under preparation and there is no investment income or loss, it should be noted.
b. The basis for recognizing investment income or losses is divided into the following three categories, which should be specified.

1) The financial statements have been audited by an international CPA firm with which CPA firms in the ROC. has a cooperative relationship.
2) The financial statements have been reviewed by the attesting CPA of the parent company in Taiwan.
3) Others: Unaudited financial statements.

Note 3: In accordance with the “Regulations Governing the Examination of Investment or Technical Cooperation in Mainland China” of the Investment Commission dated 2008.8.29, the higher of 60% of the net worth of the investor company or the consolidated net worth shall be the limit.

Note 4: Including the deregistration of Zhejiang Fuyu Foods Co., Ltd. in July 2020, Xiamen Fuyu Bafang Equity Investment Co., Ltd. in February 2021, and Zhejiang Fuyu Foods Co., Ltd. and Zhejiang Fuyu Restaurant & Management Co., Ltd. in March 2021, and Shanghai Dante Coffee Co., Ltd was deregistered in September 2022, Fujian Bafang Yunji Foods Co., Ltd. was deregistered in September 2022, and Fujian Bafang Yunji Restaurant & Management Co., Ltd. was deregistered in October 2024, the accumulated investment amount of $472,503 thousand remitted from Taiwan was not repatriated back.

3. Significant transactions with investees in Mainland China directly or indirectly through third-region businesses: None.

4. Endorsement, guarantee or provision of collaterals provided to investees in Mainland China directly or indirectly through third-region businesses: None.

5. For financial accommodation provided to investees in Mainland China directly or indirectly through third-region businesses: None.

6. Other transactions that have a significant effect on the current profit or loss or financial position: None.